FR Last-Day Revision — Master Pack

83 pages · rules + traps + AAA bridge for each standard, with a **deep-dive numerical pack** right after the heavy chapters · tick as you finish

	Topic	Weight	Pages	Done
	Ind AS 110 · Consolidated FS	13%	2–6	☐
	↳ *Deep dive: 103 / 110 / 28 / 111 numericals*		7–11	☐
	Ind AS 32 · Equity vs Liability	7.9%	12–14	☐
	↳ *Deep dive: compound life, own-share contracts*		15–17	☐
	Ind AS 115 · Revenue	5.9%	18–21	☐
	↳ *Deep dive: every step with numbers*		22–25	☐
	Ind AS 101 · First-time Adoption	5.4%	26–28	☐
	↳ *Deep dive: transition reconciliation*		29–30	☐
	Ind AS 19 · Employee Benefits	5.4%	31–34	☐
	↳ *Deep dive: DB movement, asset ceiling*		35–37	☐
	Ind AS 109 · Financial Instruments	5.1%	38–41	☐
	↳ *Deep dive: EIR, ECL, modification, hedges*		42–44	☐
	Ind AS 20 · Government Grants	4.5%	45–47	☐
	Conceptual Framework	3.4%	48–50	☐
	Ethics · CA in Business	3.1%	51–53	☐
	Ind AS 23 · Borrowing Costs	3.1%	54–55	☐
	Accounting & Technology	2.8%	56–57	☐
	Ind AS 1 · Presentation of FS	2.8%	58–61	☐
	Ind AS 105 · Held for Sale	2.8%	62–63	☐
	Ind AS 10 · Events after RP (+ SA 560/570)		64–68	☐
	Ind AS 8 · Policies, Estimates, Errors		69–72	☐
	Ind AS 16 · PPE		73–76	☐
	Ind AS 12 · Income Taxes		77–80	☐
	↳ *Deep dive: Ind AS 16 & 12 numericals*		81–83	☐

⚠ TRAP

App-written notes, beyond the SM; figures computed and cross-checked. Where your SM edition differs (Code of Ethics edition, NOCLAR scope, Ind AS 20 nominal-value option, Labour Codes in Ind AS 19), ***the SM wins.***

#1 · 13% of marks

Ind AS 110 — Consolidated FS

Control decides **who** is consolidated. The 4 WNs decide **how**. Ownership changes decide **P&L vs equity**.

1 Control = all THREE 7

Power
*Existing rights giving **current ability** to direct **relevant activities***

Exposure
*Rights to **variable returns** (dividends, synergies, fees, losses)*

Link
*Ability to **use power** to affect those returns*

2 Power — the twisted cases B9 - B54

Situation	Answer
***Protective rights** only (veto on fundamental changes, lender covenants)*	**No power** B26
***Substantive** rights — practical ability to exercise when decisions are made*	**Count them** B22
***Potential voting rights** (options / convertibles)*	*Count only if **substantive** (exercisable, in the money / no barriers)* B47
***< 50% votes, rest widely dispersed** (e.g., 48% vs thousands of 0.1%)*	**Control — de facto** B41 - B42
45% with 2 others at 26% / 29%	**No control — others can combine**
Contractual arrangement gives power without votes (structured entity)	*Look at purpose & design, who directs relevant activities* B51

3 Principal vs agent B58 - B72

→ *A decision-maker acting as **agent** for others does **not** control. Weigh: **scope of authority**, **kick-out rights** held by others, **remuneration** (market-based?), **other interests** (exposure to variability)*

→ *A **single party** that can remove the manager **without cause** → manager is an **agent*** B65

4 Who need NOT prepare CFS 4(a)

→ *Wholly-owned sub, or partly-owned with other owners **informed & not objecting**; debt/equity **not publicly traded**; not filing to issue; ultimate / intermediate parent publishes **Ind AS CFS***

→ ***Investment entity** → subs at **FVTPL** (except service subs) 31; its **non-investment-entity parent** still consolidates everything 33*

→ *Law: **Sec 129(3)** requires CFS; exemption under **Rule 6**, Companies (Accounts) Rules on similar conditions*

5 The four working notes

WN	What it does
WN 1 Net assets	Sub's net assets at **acquisition date** (at FV, incl. FV adjustments & DT) and at **reporting date** → **post-acquisition change**
WN 2 Goodwill	Consideration + NCI + FV of previously held interest − net identifiable assets (Ind AS 103 · 32)
WN 3 NCI	NCI at acquisition + NCI% × post-acquisition change (− NCI share of upstream URP)
WN 4 Group RE	Parent RE + parent% × post-acq change − downstream URP (full) − upstream URP (parent%) − impairment (parent share)

6 Goodwill & NCI measurement Ind AS 103

- → **NCI choice per acquisition**: **FV** (full goodwill) or **proportionate share** of identifiable net assets (partial goodwill) — only for present ownership instruments with proportionate share on liquidation
- → **Bargain purchase** → reassess first; then gain in **OCI** → **capital reserve** if clear evidence of reasons; otherwise **directly to capital reserve** (Indian change; IAS 103 → P&L)
- → Goodwill impairment under **full goodwill** → shared parent / NCI in profit-sharing ratio; **partial** → gross-up for testing, only parent share recognised

7 Procedures B86 - B95

- → **Uniform policies** — adjust sub's FS B87
- → Reporting dates differ → sub prepares extra FS; if impracticable, gap **≤ 3 months** + adjust significant events B92 - B93
- → **Intra-group** balances, transactions, URP eliminated **in full**; losses may signal impairment B86(c)
- → Profit / OCI attributed to NCI **even if NCI goes into deficit** B94
- → **Cumulative preference shares** held by NCI → parent's share computed **after** those dividends, **declared or not** B95 (LDR Topic 1)

8 URP — who bears it

Direction	Elimination	DTA (Ind AS 12)
Downstream P → S	Full; **parent bears 100%**	Buyer's rate; all to parent
Upstream S → P	Full; **split parent / NCI**	Buyer's rate; split

Eliminate **100% always**. Only the **sharing** of the hit changes with direction.

MOST TWISTED

9 The ownership-change map

Change	Treatment	Ref
Control continues (60% → 80%, or 80% → 60%)	**Equity transaction**: adjust NCI; difference vs consideration → **equity of parent**. **No goodwill change, no P&L**	110 · 23, B96
Loss of control (60% → 30%)	Derecognise assets, liabilities, goodwill, NCI; recognise consideration + **retained interest at FV**; recycle OCI as if disposed directly; gain / loss → **P&L**	110 · 25, B98 – B99
Step acquisition (30% assoc → 60%)	Remeasure old interest to **FV at acquisition date** → gain / loss **P&L**; recycle its OCI as if disposed	103 · 42
FVOCI equity (10%) → sub (60%)	Remeasure to FV; gain in **OCI**; never recycled	103 · 42
Associate → associate (30% → 40%)	No remeasurement of old stake; add cost; equity method continues	Ind AS 28

10 Loss of control — gain computation

FV of consideration received **+** FV of retained interest **+** carrying amount of NCI
− net assets of sub (incl. goodwill) at carrying amount
= gain / loss → **P&L** (attributable to parent) **±** OCI recycled (FCTR, CFH) / RE transfer (revaluation surplus)

⚠ TRAP
Linked transactions (B97): two steps that are really one deal (same time, in contemplation of each other, one depends on the other, uneconomic alone) → treat as a **single loss-of-control** transaction. Stops "sell 15% to equity, then 50% to P&L" games.

11 Policy vs estimate inside consolidation

→ Sub uses **different policy** (FIFO vs weighted average) → **align** to group policy in CFS
→ Sub uses **different estimate** (useful life) based on its own conditions → **no adjustment** needed

While control lasts, the **owners swap among themselves** → **equity**. When control is lost, the **group sells a business** → **P&L**.

12 Separate FS — Ind AS 27

- → Investments in subs / JVs / associates at **cost**, **Ind AS 109** or **equity method** — same for each category 27 · 10
- → **Dividend** from sub / JV / associate → **P&L when right is established** 27 · 12
- → New parent via share swap (no change in substance) → cost = share of equity in original parent's SFS 27 · 13

13 Associates & JVs — Ind AS 28 quick hits

- → Significant influence presumed at ≥ **20%** (rebuttable); indicators: board seat, policy participation, material transactions, interchange of managers, technical info
- → Equity method: cost + share of post-acq profit / OCI − dividends received
- → Losses beyond interest → stop at zero unless legal / constructive obligation; **long-term interests** (LTI) absorb losses after Ind AS 109 is applied to them first
- → Up / downstream URP with associate → eliminated only to the **investor's share** (unlike subsidiary — full)
- → Impairment → whole investment tested under Ind AS 36 (goodwill not separately)

14 Joint arrangements — Ind AS 111

	Joint operation	Joint venture
Parties have rights to	**Assets & obligations** for liabilities	**Net assets**
Accounting	Own share of assets, liabilities, revenue, expenses	**Equity method** (Ind AS 28)
Clue	No separate vehicle, or vehicle's form / terms / facts give direct rights	Separate vehicle with limited liability, no override

15 Common control combinations — Ind AS 103 App C

- → **Pooling of interests**: assets & liabilities at **carrying amounts**; no FV, **no new goodwill**
- → Difference (consideration vs share capital of transferor) → **capital reserve** (separately presented)
- → Restate prior-period info **as if combined from the beginning of the preceding period** (or from the date common control began, if later)

16 Companies Act links

Provision	Point
Sec 2(87)	Subsidiary: controls **composition of Board**, or **> ½ of total voting power** (alone or with subs)
Sec 2(6)	Associate: significant influence = **≥ 20% of total voting power** or control / participation in business decisions under agreement
Sec 129(3)	CFS of company + all subs, associates, JVs, in same form; **AOC-1** salient features
Sec 143(1) proviso	Holding company's auditor has **right of access** to records of subs / associates to the extent needed for consolidation
Layers Rules, 2017	Limit on layers of subsidiaries (certain classes exempt)

> ⚠ **TRAP**
> Legal "subsidiary" (Sec 2(87)) and Ind AS "control" can differ — CFS follow **Ind AS 110 control**.

17 AAA bridge

Area	Requirement
SA 600	Principal auditor using work of other / component auditors: nature of reliance, communication, procedures, reporting
CARO 2020	**Not applicable to CFS** except **3(xxi)**: qualifications / adverse remarks in CARO reports of companies in the CFS — names, CIN, clause numbers
SA 550	Related parties — intra-group transactions identified for elimination
SA 540	FV of identifiable net assets, NCI at FV, goodwill impairment
Sec 143(3)(i) / ICFR	Report on IFC over financial reporting also for CFS (Indian subs)

18 Technology link (SM Ch 17 PYQ)

Many subs incl. foreign → **RPA bots** extract each sub's data, convert currency, identify & **eliminate intra-group transactions**, post elimination entries → accurate, consistent, timely CFS.

> ✍ **Write in exam**
> "As per para 23 of Ind AS 110, changes in a parent's ownership interest in a subsidiary that do not result in loss of control are equity transactions. The carrying amounts of the controlling and non-controlling interests are adjusted, and any difference between the amount by which NCI is adjusted and the fair value of consideration paid or received is recognised directly in equity attributable to owners of the parent."

Consolidation — Deep Dive

The numericals behind the rules. All figures computed and cross-checked. ₹ lakh.

① Ind AS 103 — acquisition method (feeds WN 1 & 2)

Step	Rule
Business?	*Inputs + **substantive process** that together contribute to outputs. Optional **concentration test**: substantially all FV in one asset / group of similar assets → **asset acquisition** (no goodwill, no DT on initial recognition)*
Acquirer	*Who obtains control (Ind AS 110). **Reverse acquisition**: legal acquirer (issues shares) is accounting acquiree*
Acquisition date	*Date control obtained — not necessarily agreement / payment date*
Recognise & measure	*Identifiable assets & liabilities at **FV**. **Contingent liabilities** recognised if **present obligation** + FV reliable — **even if outflow not probable** (unlike Ind AS 37)*
Exceptions to FV	*Deferred tax (Ind AS 12), employee benefits (19), indemnification assets, reacquired rights, share-based payment (102), HFS (105), leases where acquiree is lessee (116)*
Consideration	*FV of cash, shares, **contingent consideration** at acquisition-date FV*
Acquisition costs	*Legal, due diligence, advisory → **expense**. Debt / equity issue costs → Ind AS 109 / 32*

② After acquisition — what can still move goodwill?

Event	Goodwill?
Measurement period** (≤ 1 yr) — new info about **facts at acquisition date	***Yes — retrospective; restate comparatives***
*Info about **events after** acquisition date*	***No — P&L***
*Contingent consideration classified as **equity***	***Never remeasured***
*Contingent consideration **liability** — later FV change (not measurement-period)*	***No — P&L (FVTPL)***
***Pre-existing relationship** settled (e.g., unfavourable supply contract)*	*Settlement gain / loss → **P&L**, excluded from consideration*
*Payments to selling shareholders who must **stay employed***	*Post-combination **remuneration**, not consideration*

⚠ TRAP

*Contingent liability recognised in a BC → later measured at **higher** of Ind AS 37 amount and initial amount less income recognised. Ind AS 37's "probable" test **doesn't** apply at acquisition.*

③ Facts

- → P buys **80%** of S on 1 Apr 2024 for **1,000**. S at that date: share capital 500, RE 300. Land FV exceeds book by **100**; tax **25%** → DTL 25. **NCI at FV = 230**
- → 31 Mar 2025: S's RE **450**; P's own RE **2,000**. Goodwill impaired **10%**
- → **Downstream**: S holds goods from P with P's profit 20 (URP). **Upstream**: P holds goods from S with S's profit 12. DTA at buyer's rate 25%

WN 1 · Net assets of S	At acq.	At RD
Share capital	500	500
Retained earnings	300	450
FV uplift on land	100	100
DTL on uplift (25%)	(25)	(25)
Upstream URP net of DTA (12 − 3) — S's profit, so in S's net assets	—	(9)
Net assets	**875**	**1,016**
Post-acquisition change = 1,016 − 875 = 141		

WN 2 · Goodwill	FV NCI	Prop. NCI
Consideration	1,000	1,000
NCI	230	175
Less net assets	(875)	(875)
Goodwill	**355**	**300**
Impairment 10%	(35.5)	
Carrying	**319.5**	

WN 3 · NCI (FV method)	
At acquisition	230
+ 20% × 141	28.2
− 20% × impairment 35.5	(7.1)
NCI	**251.1**

WN 4 · Group retained earnings	
P's RE	2,000
+ 80% × post-acq 141 (upstream URP already shared 80/20 inside WN 1)	112.8
− Downstream URP net of DTA (20 − 5) — **100% parent**	(15)
− 80% × goodwill impairment 35.5	(28.4)
Group RE	**2,069.4**

Trick: put **upstream** adjustments **inside WN 1** — the 80/20 split then happens automatically. Put **downstream** straight into **WN 4**.

④ Dividend from subsidiary (LDR Topic 4 — was missing)

Point	Treatment
When recognised	*Final dividend: when **shareholders approve** (AGM). Interim: when **Board declares**. Board **proposal** alone → no liability / receivable (Ind AS 10)*
Parent's SFS	*Dividend income in P&L when right established — **pre- and post-acquisition alike** (Ind AS 27 · 12). Not deducted from cost. **Impairment indicator** if dividend > sub's TCI or carrying amount > sub's net assets incl. goodwill (Ind AS 36 · 12(h))*
CFS	*Parent's dividend income (80) **eliminated** against sub's RE; NCI's 20% share **reduces NCI** (cash left the group)*
*Declared, **not yet paid** at RD*	*Eliminate parent's receivable vs sub's payable (80); NCI's 20% stays as a **liability** in CFS*
*Declared by sub **after** RD*	*Not recognised at RD by either — non-adjusting*
***Cumulative pref.** held by NCI*	*Deduct their dividend before parent's share, **declared or not** (B9S) — LDR Topic 1*

⑤ PPE transfer within group (LDR Topic 3)

P (downstream) sells machine CA 300 to S for 400 on 1 Apr 2024; remaining life 5 yrs; tax 25%.

Item	Year 1 (FY 24-25)	Year 2
Unrealised gain eliminated	*(100) from P&L*	*(80) from **opening RE***
Excess depreciation (400 − 300) ÷ 5 reversed	*+20*	*+20 P&L; opening already net*
Unrealised at year-end	***80***	***60***
DTA at S's rate on unrealised	*20*	*15*
Borne by	***Parent 100%** (downstream). If **upstream** → split parent / NCI*	

> ⚠ **TRAP**
>
> *The elimination **unwinds through depreciation** — not through sale like inventory. Every year: reverse that year's excess depreciation; carry the rest in opening RE.*

⑥ Other intra-group items

- → *Loans / interest / management fees → eliminate both sides in full; **cash / goods in transit** → bring into receiver's books first*
- → *Intra-group **loss** on sale → eliminate, but it may evidence **impairment** — then keep the loss*
- → *Guarantees by parent for sub's loan → eliminated in CFS (no separate liability)*

⑦ Ownership changes — same S as page 2

Event	Computation	Result
Buy 10% more (80 → 90) for 120	NCI reduced by 10/20 × 251.1 = 125.55; paid 120	**+5.55 to parent equity**
Sell 60% (80 → 20) for 1,000; retained 20% FV 330	1,000 + 330 + NCI 251.1 − (net assets 1,016 + goodwill 319.5)	**Gain 245.6 → P&L**
Step: 30% associate (CA 300, FV 360) → buy 30% more for 400	Remeasure old stake to 360; goodwill = 400 + 360 + NCI − net assets	**Gain 60 → P&L**

After loss of control, the retained 20% (FV 330) becomes the **cost of the associate** (Ind AS 28) or a financial asset (Ind AS 109).

⑧ Chain holdings

- → P owns 80% of S; S owns 60% of T → T is P's sub (control via S). **P's effective interest = 48%**; **NCI in T = 52%** (40% direct + 12% indirect via S's NCI)
- → **Indirect NCI** (S's 20%) also bears 20% of **S's cost of investment in T** → deduct that from NCI when computing T's goodwill / NCI
- → **Sequence**: if S bought T **before** P bought S → use T's net assets at the date **P acquired S**. If after → T's date of acquisition by S

⑨ Foreign subsidiary in CFS (Ind AS 21)

Item	Rate
Assets & liabilities (incl. **goodwill & FV adjustments**)	**Closing rate**
Income & expenses	Transaction rate (average if approximates)
Share capital, pre-acq reserves	Historical rate
Difference	**FCTR in OCI**, split parent / NCI

- → **Loss of control** of foreign sub → FCTR (parent share) **recycled to P&L**
- → **Partial disposal without loss of control** → proportionate FCTR **re-attributed to NCI**, not recycled
- → Intra-group monetary item with foreign sub: FX difference **stays in P&L** in CFS (can't be eliminated) — unless it's part of **net investment** (settlement neither planned nor likely) → OCI in CFS

> ✍ **Write in exam**
> "As per para B97–B99 of Ind AS 110, on loss of control the parent derecognises the assets (including goodwill) and liabilities of the subsidiary and the NCI at their carrying amounts, recognises the fair value of consideration received and of the investment retained, reclassifies amounts in OCI as required, and recognises the resulting difference as a gain or loss in profit or loss attributable to the parent."

⑩ Equity method — worked example (Ind AS 28)

I buys 30% of A for 300 on 1 Apr 2024. FY 24-25: A's profit 200, OCI 20, dividend paid 50. I sold goods to A at a profit of 40, all still in A's inventory (downstream).

Investment in A	₹ lakh
Cost	300
+ Share of profit 30% × 200	60
+ Share of OCI 30% × 20 (→ I's OCI)	6
− Dividend received 30% × 50 (reduces carrying amount, **not income**)	(15)
− Downstream URP, **investor's share only** 30% × 40	(12)
Carrying amount	**339**

- → Goodwill inside the investment — **not amortised**, not tested separately; **excess of share of net FV over cost** → income in the period acquired
- → Share of losses beyond carrying amount → apply first to **LTI** (after Ind AS 109 applied to them); then stop unless legal / constructive obligation; resume only after unrecognised losses are covered
- → Reporting date gap ≤ **3 months**; uniform policies; potential voting rights ignored for share computation

⑪ Joint operation numbers (Ind AS 111)

*A and B each own 50% of a pipeline under a **joint operation**; total cost 1,000, revenue 300. A records: asset **500**, its share of revenue 150 and expenses — **no investment line, no equity method**. Acquisition of an interest in a JO that is a **business** → apply Ind AS 103 principles (goodwill, DT, costs expensed).*

⑫ Bargain purchase & reverse acquisition (Ind AS 103)

Case	Treatment
Bargain purchase: net assets 1,100, consideration 800, NCI (prop.) 220	Reassess all measurements first. Gain = 1,100 − 800 − 220 = **80** → **OCI, accumulated as capital reserve** if clear evidence of reasons; else **directly to capital reserve** (Indian change)
Reverse acquisition	Legal parent (issues shares) = accounting **acquiree**. Consideration = FV of shares the **legal subsidiary would have had to issue** to give legal parent's owners the same % . CFS = legal sub's FS continued; equity structure (no. & type of shares) = legal parent's
Common control	Appendix C — pooling of interests (see Ind AS 110 notes page 4)

Subsidiary URP → eliminate **100%**. Associate URP → eliminate only **investor's share.**

#2 · 7.9% of marks

Ind AS 32 — Equity vs Liability

One question: does the issuer have an **unavoidable contractual obligation** to give cash / another financial asset? Legal form doesn't decide — **substance** does.

① Financial liability — the definition 11

→ *Contractual obligation to **deliver cash / financial asset**, or to **exchange** financial instruments under **potentially unfavourable** conditions*

→ *Contract settled in **own equity**:*

- ***non-derivative** → liability if **variable number** of shares*
- ***derivative** → liability unless **fixed number of shares for fixed cash** ("fixed-for-fixed")*

> *Equity = the issuer **can always say no** to paying. Liability = it **cannot**.*

② Preference shares — the classification grid

Redemption	Dividend	Classification
*Mandatory / at **holder's** option*	*Mandatory (cumulative)*	***Liability (whole)***
Mandatory / at holder's option	***Discretionary***	***Compound**: liability = PV of redemption; equity = rest*
*Non-redeemable / at **issuer's** option*	***Discretionary***	***Equity***
Non-redeemable	***Mandatory***	***Liability (PV of perpetual dividends)***
*Issuer's option, with **step-up** dividend that compels redemption*	—	*Equity — economic compulsion alone isn't an obligation; but check for **indirect obligation** in terms* 20

⚠ TRAP

*Legally "share capital" under the Companies Act, but **liability** under Ind AS → shown under **borrowings** (Sch III); dividend on it = **finance cost in P&L**. Sec 55: preference shares redeemable within **20 years** (30 for infrastructure, with annual redemption).*

③ Special classification rules

→ ***Contingent settlement** (pay if IPO fails / profits fall) → **liability**, unless the contingency is **not genuine** or arises only on **liquidation*** 25

→ ***Settlement options** (issuer / holder chooses cash or shares) → liability / derivative liability **unless all alternatives give equity*** 26

→ ***Puttable instruments** and obligations arising only on **liquidation** → equity if strict conditions (most subordinate class, pro-rata share...)* 16A – 16D

→ ***Rights issue** for fixed foreign-currency amount, pro-rata to all existing owners → **equity*** 11

→ ***Indian carve-out**: **conversion option in a foreign-currency convertible bond** (fixed number of shares for fixed amount in **any currency**) → **equity** (IAS 32 → derivative liability)* 11

NUMERICAL CORE

④ Split at initial recognition 28 – 32

Step 1 Liability = PV of interest + principal, discounted at **market rate for similar debt WITHOUT conversion**

Step 2 Equity = Proceeds − Liability **(residual)**

Step 3 Transaction costs → allocated **in proportion** to the split 38

No gain / loss on initial split. Split is **not revised** for changes in likelihood of conversion 30

Example (rounded): 10,000 debentures × ₹100, 6% coupon, 3 years, market rate 9%	
PV of coupons ₹6,00,000 × 2.5313	₹15,18,777
PV of principal ₹1,00,00,000 × 0.7722	₹77,21,835
Liability	**₹92,40,612**
Equity component (1,00,00,000 − 92,40,612)	**₹7,59,388**

Subsequently: liability at **amortised cost** (interest at 9% → P&L); equity component stays — may move within equity, never remeasured.

⑤ After issue — four endings

Event	Treatment
Conversion at maturity	Liability carrying amount → equity. **No gain / loss** AG32
Redemption at maturity	Pay off liability; equity component may move to retained earnings
Early repurchase	Allocate price to liability (its FV at that date) and equity: liability part → **P&L**; equity part → **equity** AG33 – 34
Induced conversion (sweetener)	FV of extra consideration → **loss in P&L** at date terms amended AG35

Liability side gains / losses → **P&L**. Equity side → **equity**. Never mix.

6 Equity mechanics 33 - 41

- → **Treasury shares** (own shares reacquired, e.g., via ESOP trust consolidated) → **deducted from equity**; **no gain / loss** on purchase, sale, cancellation 33
- → Interest, dividends, gains / losses on a **liability** → **P&L**; distributions to **equity** holders → **equity directly** 35
- → **Transaction costs of equity** (registration, legal, underwriting) → **deducted from equity**; abandoned issue costs → P&L 37
- → Income tax on equity distributions / costs → per **Ind AS 12** 35A

7 Offsetting 42

Offset financial asset & liability **only if** both: **(a)** currently **legally enforceable** right to set off (not contingent on a future event), and **(b)** intention to settle **net** or **simultaneously**.

8 In consolidation

- → **Written put over NCI shares** (parent must buy NCI on demand) → **financial liability** in CFS at PV of redemption amount
- → Instrument may be **equity in sub's SFS** but **liability in CFS** if parent guarantees payment

9 AAA & law bridge

Area	Requirement
CARO 3(x)(a)	Money raised by IPO / FPO (incl. debt instruments) applied for stated purposes?
CARO 3(x)(b)	Preferential allotment / private placement of shares or (fully / partly / optionally) convertible debentures — Sec **42** & **62** complied; funds used for purpose
Sec 55	Redeemable preference shares — redemption out of profits / fresh issue; CRR
Sec 71	Debentures; DRR where required
SA 315 / 330	Classification risk — legal form vs substance (presentation & disclosure assertion)

> ✍ **Write in exam**
> "As per para 15 and 16 of Ind AS 32, the issuer shall classify the instrument on initial recognition according to the substance of the contractual arrangement. Since the preference shares carry a mandatory redemption on a fixed date, the issuer has a contractual obligation to deliver cash, and the instrument is a financial liability; dividends thereon are recognised as finance cost in profit or loss (para 35)."

> ✍ **Write in exam**
> "The compound instrument is split at initial recognition: the liability component is measured at the present value of contractual cash flows discounted at the market rate for similar debt without conversion, and the equity component is the residual (para 31–32)."

Ind AS 32 — Deep Dive

Full life of a compound instrument, own-equity contracts, and preference shares — with computed numbers (₹).

① Compound debenture — full life

10,000 convertible debentures × ₹100 = ₹1,00,00,000; coupon 6% p.a. paid annually; 3 years; market rate for similar non-convertible debt 9%. Split: ***liability ₹92,40,612****,* ***equity ₹7,59,388****.*

Year	Opening liability	Interest @ 9% (P&L)	Coupon paid	Closing liability
1	92,40,612	8,31,655	6,00,000	94,72,267
2	94,72,267	8,52,504	6,00,000	97,24,771
3	97,24,771	8,75,229	6,00,000	**1,00,00,000**

Conversion at maturity

Dr Liability 1,00,00,000

Dr Equity component 7,59,388

Cr Share capital / Securities premium 1,07,59,388

No gain / loss.

Transaction costs ₹2,00,000

Allocate in ratio of split: liability **1,84,812** (enters EIR — new EIR > 9%), equity **15,188** (deducted from equity).

② Early repurchase at end of Year 1

Repurchased for ₹1,05,00,000. Market rate for 2-year similar debt now 8%.

Step	₹
FV of liability component = 6,00,000 ÷ 1.08 + 1,06,00,000 ÷ 1.08^2	96,43,347
Carrying amount of liability	94,72,267
Loss on liability component → P&L	**1,71,080**
Consideration allocated to equity = 1,05,00,000 − 96,43,347	8,56,653
Equity component carrying 7,59,388 → difference **97,265** debited **within equity** (no P&L)	

⚠ TRAP

Repurchase consideration is split using the liability's FV **at repurchase date** — never the original split ratio.

Induced conversion sweetener → FV of extra consideration → **P&L loss** when terms change.

3 Contracts in the entity's own shares — classification grid

Contract	Classification
Issue **fixed 1,000 shares** for **fixed ₹50,000** cash (written call)	**Equity (fixed-for-fixed)**
Deliver shares **worth ₹50,000** (variable number)	**Financial liability**
Deliver 1,000 shares for price linked to **commodity / index**	**Derivative liability (not fixed cash)**
Net cash or **net share** settlement of an option	**Derivative asset / liability**
Holder can choose cash **or** shares	**Liability / derivative unless all outcomes equity** 26
Written put on own shares (entity must buy back at fixed price)	**Liability = PV of redemption amount (gross), debited to equity** 23
Purchased call on own shares, gross physical settlement, fixed-for-fixed	**Equity (deducted)**
FCCB conversion option — fixed shares for fixed foreign-currency amount	**Equity (Indian carve-out)**
Bonus / rights issue pro-rata, fixed foreign-currency price	**Equity** 11

4 Preference shares — worked splits

Terms (₹50 lakh, market rate 12%)	Classification & measurement
Redeemable in 5 yrs; dividend **discretionary**	**Compound**: liability = 50,00,000 ÷ 1.12^5 = **28,37,134**; equity = **21,62,866**. Unwind at 12% → finance cost; dividends declared → equity
Redeemable in 5 yrs; **cumulative mandatory** dividend	Whole **liability** at amortised cost; dividend = **finance cost**
Irredeemable; dividend discretionary	**Equity**; dividends → SOCE
Irredeemable; dividend mandatory	**Liability** (PV of perpetual dividends)
Redeemable at **issuer's** option; discretionary dividend	**Equity** — becomes liability only when issuer **announces** redemption
Convertible into **variable** number of shares at FV	**Liability**

Two questions every time: **Must I pay principal? Must I pay return?** Yes/Yes → liability. No/No → equity. Mixed → compound.

5 Edge cases examiners use

Case	Answer
Redemption only if company **lists** within 3 years (contingent)	**Liability** — listing is outside both parties' control 25
Payment only on **liquidation** of the issuer	**Not** a liability for that feature
Contingent feature that is **not genuine** (extremely rare)	Ignore → equity
Step-up dividend after 10 yrs, redemption at issuer's option	Equity — economic compulsion isn't a contractual obligation (but read terms for indirect obligation)
Partnership / co-operative shares **puttable** by members	Liability, unless para 16A–D conditions met (most subordinate class, pro-rata, no other obligation…)
Sub's equity shares with **parent's guarantee** of return to NCI	Equity in sub's SFS; **liability in CFS**
Written put to NCI (parent must buy NCI's 20%)	CFS: **financial liability** at PV of exercise price

6 Presentation & tax

- → Redeemable preference shares (liability) → **Borrowings** under Schedule III; dividends → **finance costs**
- → Equity issue costs → **reduce equity** (net of tax); costs of a **failed** issue → P&L
- → Liability component in a compound: carrying amount vs tax base (full face) → **taxable TD → DTL charged to equity** (Ind AS 12 AG / para 23); unwinds through P&L
- → **Treasury shares**: deduct cost from equity; no P&L on sale / cancellation; disclose number held (Ind AS 1)

7 Ind AS 32 ⇄ 109 hand-off

Question	Standard
Liability or equity?	**Ind AS 32**
Then measure the liability (EIR, FVTPL, modification)	**Ind AS 109**
Embedded derivative in a debt host liability (non-equity conversion)	**Ind AS 109** separation test
Disclose risks	**Ind AS 107**

> ✍ **Write in exam**
> "As per para 23 of Ind AS 32, a contract that contains an obligation for an entity to purchase its own equity instruments for cash gives rise to a financial liability for the present value of the redemption amount, even if the obligation is conditional on the counterparty exercising a right to redeem."

#3 · 5.9% of marks

Ind AS 115 — Revenue

Five steps. Every twisted question is really asking **which step** it is testing.

1 The five steps

#	Step	Key test
1	***Identify the contract***	*Approved, rights & payment terms identifiable,* ***commercial substance****,* ***collection probable*** 9
2	***Identify performance obligations***	*Good / service* ***distinct****: capable of being distinct + distinct* ***in context*** 27
3	***Determine transaction price***	*Variable consideration, financing, non-cash, payable to customer* 47
4	***Allocate***	*Relative* ***standalone selling price*** 73
5	***Recognise***	*When / as* ***control*** *transfers — over time or point in time* 31

2 Step 1 — contract traps

→ *Collection* ***not probable*** *→ no contract; consideration received =* ***liability*** *until criteria met / contract ends & non-refundable* 15

→ ***Combine*** *contracts entered at/near same time if negotiated as a package, price interdependent, or single PO* 17

Contract modification 18 - 21	Treatment
Adds ***distinct*** *goods at* ***standalone price***	***Separate new contract***
Remaining goods distinct, price not standalone	***Terminate old + new contract*** *— prospective*
Remaining goods ***not distinct*** *(single PO partly done)*	***Cumulative catch-up*** *to revenue*

3 Step 3 — transaction price

→ ***Variable consideration*** *(discounts, rebates, bonuses, penalties, returns):* ***expected value*** *or* ***most likely amount****, then* ***constraint*** *— include only to extent* ***highly probable*** *no significant reversal* 53 · 56

→ ***Significant financing component*** *→ adjust for time value; expedient if gap* ***≤ 1 year*** 60 - 63

→ ***Non-cash consideration*** *→ FV* 66

→ ***Consideration payable to customer*** *(slotting fees, coupons) →* ***reduce revenue****, unless for a distinct good / service at FV* 70

4 Step 4 — allocation 73 - 86

→ *SSP not observable → **adjusted market assessment**, **expected cost + margin**, **residual** (only if highly variable / uncertain)*

→ ***Discount** → proportionately to all POs, unless observable evidence it relates to some* 81 - 82

→ ***Variable consideration** → wholly to one PO if terms relate to it and result is consistent with objective* 85

5 Step 5 — over time? (any ONE) 35

(a)	(b)	(c)
Customer **simultaneously receives & consumes** benefits (cleaning, payroll)	Performance creates / enhances an asset the **customer controls** as it's built	**No alternative use** and **enforceable right to payment** for work done to date

→ *Measure progress: **output** (milestones, units) or **input** (cost-to-cost) — exclude costs not reflecting progress (wasted materials); **uninstalled materials** → revenue = cost (zero margin)* B19

→ *Can't measure progress but expect to recover costs → revenue **to extent of costs*** 45

Point in time — control indicators 38

Present right to payment · legal title · physical possession · significant risks & rewards · customer acceptance

6 Contract balances 105 - 108

Item	Meaning
Receivable	**Unconditional** right to consideration (only time to pass) → Ind AS 109 ECL
Contract asset	Right **conditional** on something other than time (further performance)
Contract liability	Consideration received / due **before** performance

7 Contract costs 91 - 104

→ ***Incremental cost of obtaining*** *(sales commission on winning) → **asset** if expected recoverable; expedient: expense if amortisation ≤ 1 year*

→ *Costs incurred **regardless** of win (bid costs, legal) → expense unless explicitly chargeable*

→ ***Costs to fulfil*** *(not under other Ind AS) → asset if relate to contract, generate resources, expected recovered*

→ *Amortise consistent with transfer of goods; impairment test*

MOST TWISTED

⑧ The application-guidance hit list

Situation	Treatment
Right of return B20 – B27	*Revenue only for goods **not expected** to return; **refund liability**; **asset** for right to recover goods (cost less recovery cost & value loss)*
Warranty B28 – B33	***Assurance** type → Ind AS 37 provision. **Service** type (or sold separately) → **separate PO**, defer revenue*
Principal vs agent B34 – B38	*Controls the good **before** transfer → principal (gross). Indicators: primarily responsible, inventory risk, pricing discretion. Agent → **net commission***
Customer options *(loyalty points)* B39 – B43	***Material right** → separate PO; allocate price by SSP of points (adjusted for expected redemption); revenue on redemption / expiry*
Unexercised rights *(breakage)* B44 – B47	*Expected breakage recognised in proportion to rights exercised (if no significant reversal)*
Non-refundable upfront fee B48 – B51	*Usually **advance for future** goods → defer over period (incl. renewal if material right)*
Licence B52 – B63	***Right to access** (IP changes with licensor activity) → **over time**; **right to use** (IP as it exists) → **point in time**. Sales / usage-based **royalty** → recognise when sale / usage occurs*
Repurchase B64 – B76	*Forward / call: price < original → **lease**; ≥ → **financing**. Put: significant incentive to exercise → lease / financing; else sale with right of return*
Consignment B77 – B78	*No revenue on delivery to consignee — revenue when consignee sells*
Bill-and-hold B79 – B82	*All 4: substantive reason, identified separately as customer's, ready for transfer, can't be used / redirected*

⚠ TRAP

***Channel stuffing** (Jan 2026 PYQ): goods pushed to distributors without firm orders, 180-day credit, right of return → control may not have transferred; returns expected → **no revenue** for those; also an **ethics** issue (integrity, objectivity).*

9 Indian specifics

- → **Reconciliation** of revenue recognised with **contracted price**, showing adjustments (discounts, rebates, refunds, credits, price concessions, incentives, bonuses) 126AA
- → Scope out: leases (116), insurance (117), financial instruments (109), non-monetary exchanges between same-line entities to facilitate sales
- → Interest & dividend income → Ind AS 109, not 115

10 Cross-standard links

- → **Ind AS 16 · 68A** — rental assets routinely sold → inventory; proceeds = revenue
- → **Ind AS 16 · 69, 72** — disposal date & consideration follow Ind AS 115 rules
- → **Ind AS 37** — assurance warranty provisions; onerous contracts
- → **Ind AS 109** — ECL on receivables & contract assets (simplified approach)
- → **Ind AS 12** — advance taxed on receipt → DTA
- → **Ind AS 10** — returns after RD give evidence of NRV / variable consideration at RD

11 AAA bridge

Area	Requirement
SA 240 · 26	**Presumed fraud risk in revenue recognition** — rebut only with documented reasons
SA 540	Variable consideration, constraint, SSP, % completion estimates
SA 505	External confirmations of receivables & contract terms (side agreements)
SA 500	Cut-off testing near year-end (channel stuffing)
SA 550	Revenue with related parties — arm's length

> ✍ **Write in exam**
> "As per para 56 of Ind AS 115, variable consideration is included in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur when the uncertainty is subsequently resolved."

> ✍ **Write in exam**
> "Since the performance does not create an asset with an alternative use and the entity has an enforceable right to payment for performance completed to date, the performance obligation is satisfied over time as per para 35(c)."

Ask in order: **Contract?** → **POs?** → **Price?** → **Split?** → **When?** Name the step in your answer.

Ind AS 115 — Deep Dive

Every step with a computed numerical. Name the step, show the working, conclude.

1 Step 2 — is it distinct? (two-stage test) 27 - 30

Indicator it's NOT distinct in context	Example
Significant **integration** service into a combined output	Construction: bricks, labour, design → one building
One **significantly modifies / customises** the other	Software requiring heavy customisation
Highly **interdependent / interrelated**	Can't fulfil one without the other

→ **Series**: substantially the same distinct goods / services, same pattern of transfer (daily cleaning, monthly payroll) → **single PO** 22(b)

→ Set-up activities that transfer nothing to customer → **not a PO**

2 Step 3 — variable consideration

Case	Working
Binary bonus: ₹1 cr if finished by 31 Dec (60% likely)	Use **most likely amount** (binary outcome) → ₹1 cr — **then apply constraint**: if not **highly probable**, include **nil** until uncertainty resolves
Volume rebate: ₹100 / unit; 10% retrospective rebate if > 1,000 units in the year. Q1 sales 200; expected annual 1,200	Expected price ₹90 → Q1 revenue **₹18,000**; **refund liability ₹2,000**. Re-estimate each quarter; cumulative catch-up
Many possible outcomes (portfolio of returns)	**Expected value** (probability-weighted)
Sales / usage-based royalty on licence of IP	Not estimated — recognise when sale / usage occurs (exception)

3 Step 3 — significant financing component

Case	Working
Deferred payment: ₹10,00,000 payable 2 years after delivery; discount rate 10%	Revenue at delivery = 10,00,000 ÷ 1.1^2 = **₹8,26,446**; **interest income** Y1 ₹82,645, Y2 ₹90,909
Advance payment: customer pays ₹8,00,000 two years before delivery; entity's rate 6%	**Interest expense** Y1 ₹48,000, Y2 ₹50,880 → contract liability grows → revenue at delivery **₹8,98,880**

No adjustment if gap ≤ 1 year (expedient), advance at customer's discretion, variable consideration outside control, or difference for reasons other than financing (e.g., retention for performance).

④ Step 4 — allocation by relative SSP

Bundle price ₹1,00,000: phone (SSP 80,000), 2-year service (SSP 30,000), accessory (SSP 10,000). Total SSP 1,20,000.

PO	SSP	Allocated	Recognised
Phone	80,000	**66,667**	On delivery
Service	30,000	**25,000**	Over 24 months
Accessory	10,000	**8,333**	On delivery

Discount of ₹20,000 spread ***pro rata*** — unless observable evidence it relates to specific POs (e.g., phone + accessory always discounted together) [82].

⑤ Customer loyalty points (material right)

Sales ₹1,00,000 earn 10,000 points (₹1 each); expected redemption 80% → SSP of points ₹8,000.

Working	₹
Goods: 1,00,000 × 1,00,000 ÷ 1,08,000	**92,593** (revenue now)
Points: 1,00,000 × 8,000 ÷ 1,08,000	**7,407** (contract liability)
Year 1: 4,500 points redeemed of 8,000 expected → 7,407 × 4,500 ÷ 8,000	**4,167** revenue

Change in expected redemption → cumulative catch-up on the liability (revenue = liability × cumulative redeemed ÷ revised total expected).

⑥ Right of return

100 units sold at ₹1,000 (cost ₹600); 5% expected to be returned; no loss on return.

Entry	₹
Revenue (95 units)	**95,000**
Refund liability (5 units)	**5,000**
Asset — right to recover goods (5 × 600, less recovery costs)	**3,000**
Cost of sales (95 × 600)	**57,000**

⚠ TRAP

Exchange for ***same type / quality*** (e.g., different size) is ***not*** a return. Return of ***defective*** goods → warranty. Refund liability & asset are shown ***gross***, not offset.

7 Over time — cost-to-cost with uninstalled materials

*Contract price ₹10 cr; estimated total cost ₹8 cr. Cost to date ₹3 cr, of which ₹1 cr = specialised lifts delivered, **not yet installed** (customer controls them; entity not involved in design).*

Working	₹ cr
Revenue on lifts = cost (zero margin) B19	*1.000*
Progress on rest = cost excl. lifts 2 ÷ total excl. lifts 7	*28.57%*
Revenue on rest = (10 − 1) × 28.57%	*2.571*
Total revenue to date	***3.571***
Cost recognised 3.000 → margin 0.571 (= 2/7 of the ₹2 cr margin)	

*Expected **loss** on contract → Ind AS 37 onerous contract provision. Wasted materials / inefficiencies **excluded** from progress.*

8 Contract modification — numbers

Contract: 120 units at ₹100. After 60 delivered, customer adds 30 units.

Price for extra 30	Treatment
*₹95 = **standalone** price at that date*	***Separate contract**: 60 × ₹100 + 30 × ₹95*
₹80, not standalone (goods distinct)	***Prospective**: (60 × 100 + 30 × 80) ÷ 90 = **₹93.33** per remaining unit*
Single PO partly satisfied (e.g., building)	***Cumulative catch-up** of revenue at modification date*

9 Principal vs agent

Case	Answer
Online platform sells third-party goods; seller sets price, ships, bears inventory risk	***Agent** → revenue = **commission***
Travel firm pre-buys airline tickets (bears risk if unsold), sets own price	***Principal** → gross revenue*
Reseller of software licences with no pricing discretion, no support obligation	***Agent***

*Key question: does the entity **control the specified good / service before** it transfers to the customer? Indicators support, they don't override.*

10 Licences of IP

Type	Test	Recognise
Right to access	*Licensor expected to undertake activities that **significantly affect** the IP; customer exposed to them (brand / franchise names)*	***Over time***
Right to use	*IP has significant stand-alone functionality (software, films, music) as it exists*	***Point in time** (not before use period starts)*

11 Contract costs — numbers

- → *Sales commission ₹3 L on winning a 3-year service contract → **asset**, amortise ₹1 L / year (straight-line if service evenly delivered); include anticipated renewals if commission relates to them*
- → *Legal fees for drafting the bid (incurred whether or not won) → **expense***
- → *Commission on a 1-year contract → may **expense** (practical expedient)*
- → *Set-up costs of a data centre for an outsourcing contract (not PPE) → **fulfilment cost asset** if criteria met*

12 Warranty — split test

Fact	Result
Standard 1-year cover required by law; repairs defects only	***Assurance** → Ind AS 37 provision*
Customer can buy extended warranty separately	***Service** → separate PO, defer revenue*
3-year cover where market norm is 1 year	*Split: 1 yr assurance + 2 yrs **service PO***

13 Other must-know

- → ***Non-refundable upfront fee** (gym joining fee) → advance for future services → recognise over membership (and expected renewals if a material right)*
- → ***Breakage** on gift cards → recognise expected breakage in proportion to redemptions, if no significant reversal; else when remote*
- → ***Customer acceptance** that is objective (meets agreed specs) → doesn't delay control; subjective → wait*
- → ***Consideration payable to customer** (slotting fees ₹5 L to retailer) → reduce revenue when the later of revenue recognised / payment promised*
- → ***Collectability** doubtful from the start → no contract; cash received = liability*

> ✍ **Write in exam**
> *"Since the customer has a material right in the form of loyalty points, the points constitute a separate performance obligation as per para B40 of Ind AS 115. The transaction price is allocated between the goods and the points on the basis of relative stand-alone selling prices, and the amount allocated to the points is recognised as a contract liability until the points are redeemed or expire."*

#4 · 5.4% of marks

Ind AS 101 — First-time Adoption

Default = **full retrospective** application. Then **mandatory exceptions** (must) and **optional exemptions** (may) carve it down.

1 The dates — draw this first

Term	Example: first Ind AS FS for FY 2025-26
Date of transition *= start of earliest comparative period*	***1 April 2024*** *— opening Ind AS balance sheet prepared here*
Comparative period	*FY 2024-25 — restated under Ind AS*
First Ind AS reporting period */ reporting date*	*FY 2025-26 /* ***31 March 2026***
Ind AS versions used	*Those* ***effective at 31 March 2026****, applied to all periods* 7 - 8

→ *First Ind AS FS = first FS with an* ***explicit and unreserved statement of compliance*** *with Ind AS* 3

2 Opening Ind AS balance sheet 10 - 11

- ***Recognise*** *all assets / liabilities Ind AS requires*
- ***Derecognise*** *items Ind AS doesn't permit*
- ***Reclassify*** *items (e.g., redeemable pref. shares → liability)*
- ***Measure*** *per Ind AS*

All adjustments → ***retained earnings*** *(or another equity category)* ***at the date of transition*** *— not P&L of any period.*

Previous-GAAP ***proposed dividend*** *liability → reversed (not a liability under Ind AS 10).*

3 Mandatory exceptions — NO choice App B

Area	Rule
Estimates	*Consistent with previous-GAAP estimates (after policy alignment)* ***unless*** *evidence of error —* ***no hindsight***
Derecognition *of fin. assets / liabilities*	***Prospective*** *from transition date (may apply earlier if info was obtained then)*
Hedge accounting	*Only hedges that qualify under Ind AS 109 at transition date*
NCI	*Certain Ind AS 110 requirements (TCI to NCI, ownership changes) prospective*
Classification & measurement *of fin. assets*	*Assess on* ***facts at transition date***
Impairment *(ECL)*	*Reasonable info without undue cost; compare with initial credit risk where practicable*
Embedded derivatives	*Assess on later of first-party date and date reassessment required*
Government loans *at below-market rate*	*Use* ***previous-GAAP carrying amount*** *at transition (prospective Ind AS 109 / 20)*

MOST TESTED

④ Optional exemptions — MAY use App C · D

Exemption	What it allows
Business combinations C	Don't restate past BCs. If you restate one, **restate all later** ones. Goodwill carried forward; test for impairment at transition
Deemed cost — PPE, intangibles, investment property	**FV** at transition, or previous-GAAP **revaluation**; or **previous-GAAP carrying value for ALL** PPE (+ decommissioning adjustments) D7AA (Indian)
Investments in subs / JVs / associates (SFS)	Cost per Ind AS 27, or deemed cost = **FV** or **previous-GAAP carrying amount** D15
Cumulative translation differences	Reset to **zero** at transition D13
Long-term foreign-currency monetary items	**Continue** previous-GAAP policy (AS 11 para 46A — capitalise / amortise FX) for items recognised before start of first Ind AS period D13AA (Indian)
Compound instruments	No split if liability component no longer outstanding at transition D18
Designation of financial instruments	FVOCI equity election / FVTPL designation based on facts at transition
Share-based payments	Need not apply Ind AS 102 to equity-settled awards **vested** before transition
Leases	Ind AS 116 transition simplifications at transition date
Decommissioning in PPE	Simplified measurement at transition
Borrowing costs	Previous-GAAP capitalised amounts may be retained

⚠ TRAP

Exception vs exemption: **exceptions** (App B) are **compulsory** — no hindsight on estimates, prospective derecognition. **Exemptions** (App C / D) are **elective**, item by item (some all-or-nothing, e.g., D7AA "all PPE").

Exception = Compulsory. Exemption = Elective.

5 Reconciliations to disclose 23 – 33

- → **Equity**: previous GAAP → Ind AS at **(a) transition date** and **(b) end of latest previous-GAAP period**
- → **Total comprehensive income** for the latest previous-GAAP period (start from previous-GAAP profit)
- → Material adjustments to **cash flow statement** explained
- → **Errors** under previous GAAP shown **separately** from policy changes 26
- → Impairment losses recognised / reversed at transition (Ind AS 36 disclosures)
- → Use of **FV as deemed cost** → aggregate FV and adjustment to carrying amounts, per line item 30
- → **Interim** reports within first Ind AS year → same reconciliations 32

6 Indian roadmap points

- → Companies (Ind AS) Rules, 2015 — mandatory by phases (listed / net-worth thresholds); **holding, subsidiary, JV, associate** of a covered company also apply
- → **Voluntary** adoption allowed; once on Ind AS, **cannot revert** to AS
- → NBFCs, banks, insurers — separate RBI / IRDAI roadmaps

7 Cross-links

- → **Ind AS 8** doesn't apply to policy changes on first-time adoption
- → **Ind AS 1 · 40A** — third balance sheet: the transition-date BS is presented
- → **Ind AS 12** — DT on all transition adjustments; most go to retained earnings
- → **Ind AS 103 App C / 110** — consolidation of subs already acquired: carrying amounts per exemption

8 AAA bridge

Area	Requirement
SA 510	Opening balances — first-time adoption adjustments are part of opening equity
SA 710	Comparatives restated under Ind AS — corresponding figures
SA 540	FV used as deemed cost; ECL at transition
SA 706	EOM may draw attention to transition note

> ✍ **Write in exam**
> "As per para 14 of Ind AS 101, an entity's estimates in accordance with Ind AS at the date of transition shall be consistent with estimates made for the same date under previous GAAP (after adjustments to reflect any difference in accounting policies), unless there is objective evidence that those estimates were in error."

Ind AS 101 — Deep Dive

The transition-date reconciliation, item by item — the format ICAI asks you to prepare. ₹ lakh, tax 25%.

1 Equity reconciliation at date of transition (1 Apr 2024)

Item	Effect	DT
Equity under previous GAAP	***1,000***	
Proposed dividend reversed — not a liability until approved (Ind AS 10)	*+50*	*—*
*Equity investment designated **FVOCI**: FV 140 vs cost 100 → OCI reserve*	*+40*	*(10)*
***ECL** on trade receivables (simplified approach)*	*(20)*	*+5*
*Redeemable preference shares **reclassified to liability** (Ind AS 32)*	*(100)*	*—*
Decommissioning provision added to PPE; net equity effect of catch-up depreciation & unwinding	*(8)*	*+2*
Deferred tax on the adjustments (Ind AS 12)	*(3)*	
Equity under Ind AS	***959***	

- → *All adjustments → **retained earnings** or the relevant **other equity** component (FVOCI reserve) **at transition date** — never through P&L*
- → *Repeat the reconciliation at **end of the latest previous-GAAP year** (31 Mar 2025) and for **total comprehensive income** of FY 2024-25*
- → *Proposed dividend: no DT; preference reclass: no DT (presentation only); liability component of pref. → later EIR finance cost*

2 Deemed cost choices — numbers

Option for a plant (IGAAP CA 400, FV 520, Ind AS-compliant cost-model CA 360)	Opening Ind AS CA	Effect
Full retrospective Ind AS 16	*360*	*(40) to RE*
***FV as deemed cost** (item-by-item)*	*520*	*+120 to RE (+ DTL)*
***Previous-GAAP CA for ALL PPE** (D7AA)*	*400*	*Nil (decommissioning adjustment only)*

TRAP

***D7AA is all-or-nothing** for PPE (and separately for intangibles / investment property). FV deemed cost can be chosen **item by item**. Once deemed cost is set, later depreciation follows Ind AS 16 from that base.*

③ Item-by-item twisted cases

Case	Answer
Under IGAAP, estimated warranty 2% of sales; better data in Jun 2024 shows 3% was right at transition	Keep **2%** at transition (no hindsight, mandatory exception) — unless 2% was an **error**; change goes to later period
IGAAP had no estimate (e.g., no DB valuation done)	Make the estimate at transition date reflecting **conditions at that date**
Receivables factored with recourse in 2022, derecognised under IGAAP	Derecognition exception — **not** re-recognised (prospective from transition)
Past business combination recorded at book values (IGAAP)	BC exemption → keep; goodwill = IGAAP carrying amount, tested for impairment at transition; recognise / derecognise items as Ind AS requires (adjust goodwill only for intangibles previously subsumed)
Foreign operation's translation reserve under IGAAP	May **reset to zero** (D13) → future disposal gain excludes pre-transition differences
Long-term FC loan taken in 2015 with AS 11 · 46A capitalisation	May **continue** 46A policy (D13AA) for that loan
ESOPs vested before transition	Need not apply Ind AS 102 (D2)
Compound instrument fully converted before transition	No need to split (D18)
Subsidiary adopts Ind AS later than parent	Sub may measure at carrying amounts in **parent's CFS** (based on parent's transition date) (D16)
Hedge not documented at transition	**No** hedge accounting retrospectively (mandatory exception)

④ Presentation of first Ind AS FS

- → **Three balance sheets**: end of current year, end of comparative year, and **transition date** (opening Ind AS BS)
- → Two P&Ls, two cash flow statements, two SOCEs + notes, incl. Ind AS 101 reconciliations
- → Explain material differences in **cash flows** (e.g., interest classification)

Draw the line: **Transition date → Comparative year → First reporting date.** Then go item by item: **recognise / derecognise / reclassify / remeasure** — check exception or exemption for each.

✍ **Write in exam**

"As per para 11 of Ind AS 101, the adjustments arising from changes in accounting policies on transition to Ind AS shall be recognised directly in retained earnings (or, if appropriate, another category of equity) at the date of transition to Ind AS."

Nov 2026 attempt

Ind AS 19 — Employee Benefits

Four buckets. The bucket decides **discounting** and whether remeasurement goes to **P&L or OCI**.

1 The four buckets

Bucket	Examples	Measure	Remeasurement
Short-term	*Salary, paid leave, bonus — settled **wholly within 12 m** after year of service*	*Undiscounted*	—
Post-employment	*Gratuity, pension, PF, post-retirement medical*	*DC: contribution DB: PUCM, discounted*	*DB → **OCI***
Other long-term	*Leave encashment **not** wholly within 12 m, long-service awards*	*PUCM, discounted*	***P&L***
Termination	*VRS, retrenchment compensation*	*Short- or long-term rules by timing*	*As per timing*

⚠ TRAP

***Leave encashment (other long-term)**: actuarial valuation like DB, but actuarial gains / losses go to **P&L, NOT OCI** 154 - 156. Examiners love this.*

2 Short-term benefits 9 - 25

- → ***Accumulating** absences (carried forward) → recognise when service **increases entitlement** — both vesting and non-vesting (non-vesting: adjust for expected forfeiture)*
- → ***Non-accumulating** absences (e.g., sick leave lapses) → recognise **when absence occurs***
- → ***Bonus / profit-sharing** → when **present legal or constructive obligation** from past events + reliable estimate* 19
- → *Temporary change in settlement timing → no reclassification; reassess if characteristics change* 10

3 DC vs DB — who bears the risk?

Defined contribution

*Fixed contribution; **employee** bears actuarial & investment risk. Expense = contribution payable for service. EPFO (RPFC) PF, ESI, NPS.*

Defined benefit

*Entity promises a benefit; **entity** bears risk. Gratuity (Payment of Gratuity Act), pensions.*

*PF in a **company-managed exempt trust** with **guaranteed interest rate** → DB (shortfall risk sits with employer).*

NUMERICAL FAVOURITE

4 Net defined benefit liability (asset) 57 - 64

Net DBL = PV of DBO − FV of plan assets · surplus capped at **asset ceiling** (PV of refunds / reductions in future contributions)

→ Method: **Projected Unit Credit**; attribute benefit per plan formula — **straight-line** if back-loaded

→ **Discount rate**: market yields on **government bonds** at RD 83 (Indian change; IAS 19 uses high-quality corporate bonds — foreign subs / branches use corporate bonds where deep market)

5 Three components — where each goes 120

Component	Includes	Goes to
Service cost	Current service cost; past service cost (incl. curtailment); settlement gain / loss	**P&L**
Net interest	Discount rate × **net** DBL (at start, adjusted for contributions / payments)	**P&L**
Remeasurements	Actuarial gains / losses; return on plan assets **excl.** net interest; change in asset ceiling **excl.** interest	**OCI — never recycled**

P&L sees "S + I" (service + interest). OCI sees "R" (remeasurement). OCI may move to retained earnings, **never to P&L**.

6 Movement table — the exam layout

DBO (PV of obligation)	Plan assets (FV)
Opening	Opening
+ Current service cost	+ Interest income (opening × rate)
+ Interest cost (opening × rate)	+ Contributions received
+ Past service cost	− Benefits paid
− Benefits paid	± **Return excl. interest (balancing → OCI)**
± **Actuarial loss / (gain) (balancing → OCI)**	= Closing (given by actuary)
= Closing (given by actuary)	

⚠ TRAP

Interest on plan assets uses the **discount rate**, **not** the actual / expected return. Actual return − interest income = remeasurement (OCI).

7 Past service cost, curtailment, settlement 99 - 112

- → **Past service cost** (plan amendment / curtailment) → **immediately in P&L** — no spreading over vesting period (unlike old AS 15)
- → Recognise at the **earlier** of: amendment / curtailment occurs, **or** related restructuring costs (Ind AS 37) / termination benefits recognised 103
- → **Settlement** gain / loss = PV of DBO settled − settlement price → P&L

2019 amendment 122A

On amendment / curtailment / settlement during the year → **remeasure** net DBL with **updated assumptions**, and use those **updated assumptions** for current service cost & net interest for the **rest of the period**. Asset ceiling effect handled separately (through OCI).

⚠ TRAP

Law change increasing benefits (e.g., new Labour Codes widening "wages" for gratuity) = **plan amendment** → **past service cost** → **P&L immediately**, not OCI. Verify applicability date for your attempt.

8 Termination benefits 159 - 171

- → Arise from **entity's decision** to terminate or employee accepting an **offer** (VRS) — not from future service
- → Recognise at the **earlier** of: **(a)** entity can **no longer withdraw** the offer; **(b)** entity recognises **restructuring costs** (Ind AS 37) involving termination benefits 165
- → Settled within 12 m → short-term rules; otherwise → long-term (discounted)

⚠ TRAP

Benefits that are conditional on **future service** (stay-till-closure bonus) are **NOT** termination benefits — attribute over the service period.

9 Presentation

- → Ind AS 19 doesn't split current / non-current → apply **Ind AS 1**: actuary's estimate of amount payable within 12 m → **current**
- → Offset plan assets of one plan against another's obligation only with legal right + intent 131
- → Disclose **sensitivity analysis** for significant actuarial assumptions
- → **Share-based payments** → Ind AS 102, not Ind AS 19

10 Cross-standard links

- → **Ind AS 1** — remeasurements in "items that will **not** be reclassified"; current / non-current split
- → **Ind AS 12** — gratuity / leave provisions deductible on payment (Sec 43B) → **DTA**; DT on remeasurement → **OCI**
- → **Ind AS 37** — restructuring provision timing drives termination benefit & past service cost timing
- → **Ind AS 10** — bonus fixed after RD where obligation existed at RD = adjusting (para 9(d))
- → **Ind AS 8** — change in actuarial assumptions = estimate (handled as remeasurement)
- → **Ind AS 2 / 16** — employee cost directly attributable may be capitalised into inventory / PPE

11 AAA bridge

Area	Requirement
SA 500 (para 8)	Actuary = **management's expert** → evaluate competence, capabilities, objectivity; understand work; evaluate appropriateness
SA 620	Only if the **auditor** engages their own actuary (auditor's expert)
SA 540	Assumptions: discount rate (G-sec), salary escalation, attrition, mortality
SA 580	Representation that significant assumptions are reasonable
CARO 3(vii)(a)	PF, ESI and other statutory dues deposited regularly; arrears > 6 months
Exempt PF trust	Check interest shortfall vs guaranteed rate → DB liability

> ✍ **Write in exam**
> "Leave encashment that is not expected to be settled wholly within twelve months after the end of the annual reporting period is an other long-term employee benefit. It is measured using the projected unit credit method, and as per para 156 of Ind AS 19, remeasurements are recognised in profit or loss, not in OCI."

> ✍ **Write in exam**
> "Remeasurements of the net defined benefit liability comprising actuarial gains and losses and return on plan assets excluding amounts included in net interest are recognised in OCI and shall not be reclassified to profit or loss in a subsequent period (para 122)."

Ind AS 19 — Deep Dive

Full DB numerical, asset ceiling, compensated absences, plan events. ₹ lakh.

① Defined benefit — full worked example

*Opening DBO 1,000; opening plan assets 900; discount rate 8%. Current service cost 120; **past service cost 30** (plan amended during year); contributions 150 and benefits paid 80 (both at year-end). Actuary: closing DBO **1,140**, closing plan assets **1,060**.*

DBO	
Opening	1,000
+ Current service cost	120
+ Past service cost	30
+ Interest 8% × 1,000	80
− Benefits paid	(80)
Expected closing	1,150
Actuarial gain (balancing)	**(10)**
Closing (actuary)	1,140

Plan assets	
Opening	900
+ Interest income 8% × 900	72
+ Contributions	150
− Benefits paid	(80)
Expected closing	1,042
Return excl. interest (balancing)	**18**
Closing (actuary)	1,060

Where it goes	Amount	Statement
Service cost (120 + 30)	150	P&L
Net interest 8% × net liability 100 (= 80 − 72)	8	P&L
Total P&L charge	**158**	
Remeasurement gain (10 + 18)	**(28)**	OCI

Check: opening net liability 100 + P&L 158 − OCI gain 28 − contributions 150 = **80** = closing DBO 1,140 − plan assets 1,060 ✓

⚠ TRAP

Interest on plan assets = **discount rate × opening assets**, not actual return. Past service cost → **P&L immediately**, even if benefits are unvested. Contributions & benefits paid only move balances — they're not expenses.

② Asset ceiling 64 · 65

DBO 800; plan assets 1,000 → surplus 200. PV of economic benefits available (refunds / reduced future contributions) = 150.

Working	₹ lakh
Surplus	200
Asset ceiling	150
Net defined benefit asset recognised (lower)	**150**
Effect of asset ceiling 50 → **OCI** (remeasurement); next year, interest on the ceiling effect → part of net interest in P&L	50

③ Accumulating compensated absences — classic

100 employees, 5 days' paid sick leave a year; unused leave carried forward **one year**; leave taken first from current year. At year-end, average unused = 2 days. Expected next year: 92 employees take ≤ 5 days; 8 take 6.5 days each.

Working	Days
92 employees use current entitlement only → no carried-forward used	0
8 employees use 1.5 days of carried-forward each	**12**
Liability = 12 days of sick pay (expected, not the full 200 days unused)	

→ Non-vesting accumulating → still a liability (expected use). **Vesting** → full amount unused

→ Non-accumulating (lapses) → no liability until absence occurs

④ Other long-term benefits — the P&L trap

Leave encashment (not wholly within 12 m)	₹ lakh
Current service cost	40 → P&L
Interest cost	12 → P&L
Actuarial loss	15 → **P&L (not OCI)**

Post-employment DB → remeasurement in **OCI**. Other long-term (leave, long-service award) → **everything in P&L**.

5 Plan amendment / curtailment / settlement mid-year

1. Remeasure net DBL **immediately before** the event using current assumptions (difference → OCI)
2. Past service cost / settlement gain or loss = change in DBO from the event → **P&L**
3. For the **rest of the year**, compute current service cost & net interest using the **updated** assumptions and remeasured net DBL (2019 amendment)
4. Asset ceiling effect after the event → OCI

Event	Meaning
Curtailment	Significant **reduction in number of employees** covered (plant closure) → past service cost (usually a gain)
Settlement	Eliminates all further obligation (lump-sum buy-out / annuity purchase) — **not** normal benefit payments per plan terms
Plan amendment	Benefits introduced / changed (incl. by **law**)

6 Termination benefits — VRS

- → VRS offered 1 Mar, acceptance window to 15 Apr: recognise when entity **can't withdraw** the offer — for a VRS, when employees **accept** (or a restriction on withdrawing takes effect)
- → Involuntary plan → when communicated with sufficient detail & unlikely to change
- → Measured per benefit nature: within 12 m → undiscounted; beyond → discounted

7 Indian situations

Case	Treatment
PF to EPFO / RPFC	**DC** — expense contribution
PF in exempt trust, employer guarantees EPFO rate	**DB** — provide for interest shortfall (actuarial / deterministic)
Gratuity funded with LIC group policy	**DB**; LIC policy = **plan asset** if qualifying insurance policy
Superannuation (fixed % to LIC)	**DC**
Statutory bonus (Payment of Bonus Act)	Short-term; accrue for the year
Law widens wage base for gratuity	**Past service cost** → **P&L** (verify date for your attempt)

✍ Write in exam

"As per para 120 of Ind AS 19, service cost and net interest on the net defined benefit liability are recognised in profit or loss, while remeasurements of the net defined benefit liability are recognised in other comprehensive income; past service cost is recognised in profit or loss at the earlier of the plan amendment and the recognition of related restructuring costs (para 103)."

#6 · 5.1% of marks

Ind AS 109 — Financial Instruments

Classify (business model + SPPI) → measure → impair (ECL) → derecognise → hedge.

1 Financial assets — classification 4.1

Business model	SPPI?	Category
Hold to collect	Yes	**Amortised cost**
Hold to collect & sell	Yes	**FVOCI (debt) — recycled**
Other (trading, FV-managed)	—	**FVTPL**
Any	**No** (e.g., equity, convertible, leveraged)	**FVTPL**

- → **Equity** not held for trading (and not BC contingent consideration) → **irrevocable FVOCI election** at initial recognition; **never recycled**; dividends → P&L 5.7.5
- → **Fair value option** → designate FVTPL if it eliminates an **accounting mismatch** (irrevocable)
- → Sales under HTC are fine if **infrequent / insignificant** or due to **credit deterioration**

⚠ TRAP

Reclassification of financial assets only when the **business model changes** (rare, significant, demonstrable) → **prospective** from the **first day of the next reporting period**. **Never** for FVOCI equity, FVO designations, or **financial liabilities**.

2 Financial liabilities 4.2

- → Default: **amortised cost** (EIR). FVTPL if held for trading, derivatives, or designated
- → Designated FVTPL → change from **own credit risk** → **OCI** (never recycled), rest P&L — unless OCI creates a mismatch 5.7.7
- → **Financial guarantee** (issuer) → initially FV; later **higher of** ECL allowance and initial amount less cumulative income

3 Initial measurement 5.1

- → **FV + transaction costs** (except FVTPL → costs to P&L). Trade receivables without significant financing → **transaction price**
- → **Day-1 difference** (FV ≠ price): recognise in P&L only if FV is Level 1 or uses only observable inputs; else **defer** B5.1.2A
- → Interest-free **loan to employee / sub** → FV (PV at market rate); difference = employee benefit / **investment in sub** (parent SFS)

NUMERICAL

4 Expected credit loss — general (3-stage) approach 5.5

Stage	Trigger	Allowance	Interest on
1	No significant increase in credit risk (SICR)	**12-month** ECL	Gross carrying amount
2	**SICR** since initial recognition	**Lifetime** ECL	Gross carrying amount
3	**Credit-impaired**	**Lifetime** ECL	**Net (amortised cost)**

- → Rebuttable presumptions: **> 30 days past due** = SICR; **> 90 days** = default
- → **Simplified approach** (always lifetime ECL; provision matrix) — **mandatory** for trade receivables / contract assets **without** significant financing; policy choice for those with financing and lease receivables
- → **POCI** (purchased / originated credit-impaired) → credit-adjusted EIR; recognise only **changes** in lifetime ECL
- → **FVOCI debt** → ECL allowance in **OCI**, not reducing carrying amount (which stays at FV)
- → ECL = probability-weighted, time value, reasonable & supportable info incl. **forward-looking**

5 Modification & derecognition of liabilities 3.3

- → Liability derecognised when **extinguished** (discharged, cancelled, expired)
- → **10% test**: PV of new cash flows (incl. fees, discounted at **original EIR**) differs by **≥ 10%** from PV of remaining old cash flows → **substantial** → extinguish old, recognise new at FV; difference → P&L
- → Not substantial → adjust carrying amount; costs amortised over remaining term
- → Asset modification not causing derecognition → recalculate gross carrying amount at **original EIR**; gain / loss → P&L 5.4.3

ECL stages move **both ways** — improvement takes Stage 2 back to Stage 1 (12-month ECL).

6 Derecognition of financial assets — decision tree 3.2

1. ***Consolidate*** *subsidiaries / SPVs first*
2. *Rights to cash flows* ***expired****?* → *derecognise*
3. *Rights* ***transferred****, or* ***pass-through*** *met (no obligation unless collected; can't sell / pledge; remit without material delay)? If neither* → *keep*
4. ***Substantially all risks & rewards*** *transferred* → ***derecognise****;* ***retained*** → ***keep*** *(proceeds = collateralised borrowing)*
5. *Neither transferred nor retained* → ***control*** *retained? No* → *derecognise; Yes* → ***continuing involvement***

Example	Result
Factoring ***without recourse***	***Derecognise***
Factoring ***with full recourse*** */ guarantee of all losses*	***Keep + liability***
Sale + repurchase at fixed price + lender's return (repo)	***Keep — financing***
Sale + call option deeply out of the money	***Derecognise***

7 Derivatives & embedded derivatives

- → *Derivative: value changes with an* ***underlying****,* ***little / no initial investment****,* ***settled in future*** → ***FVTPL***
- → *Hybrid with a* ***financial-asset host*** *in Ind AS 109* → ***no separation****; classify whole (usually fails SPPI* → *FVTPL)*
- → *Other hosts (liability, non-financial)* → *separate if* ***not closely related****, would meet derivative definition, hybrid not at FVTPL*
- → *Own-use contracts for non-financial items (normal purchase / sale)* → *outside 109 unless net settled*

8 Hedge accounting Ch 6

Type	Accounting
Fair value	*Hedging instrument & hedged item (for hedged risk)* → ***P&L****; hedged item carrying amount adjusted*
Cash flow	*Effective portion* → ***OCI (CFH reserve)****; ineffective* → *P&L. Recycle when hedged item affects P&L;* ***basis adjustment*** *for non-financial items*
Net investment	*Like CFH; recycled on disposal of foreign operation*

Qualifying: designation & documentation at inception; ***economic relationship****; credit risk doesn't dominate;* ***hedge ratio*** *consistent.* ***No voluntary de-designation*** *while risk management objective is unchanged; rebalance instead.*

⑨ Where gains / losses go — one table

Instrument	FV change	On sale
Amortised cost	—	Gain / loss → P&L
FVOCI **debt**	OCI (interest, ECL, FX → P&L)	**Recycled to P&L**
FVOCI **equity**	OCI (dividend → P&L)	**Not recycled (may move to RE)**
FVTPL	P&L	P&L
Designated FVTPL **liability**	Own credit → OCI; rest → P&L	OCI part never recycled

⑩ Cross-standard links

- → **Ind AS 32** — classification as liability / equity first; Ind AS 109 then measures the liability
- → **Ind AS 107** — credit, liquidity, market risk disclosures; ECL reconciliations
- → **Ind AS 113** — FV hierarchy (Level 1 / 2 / 3) for day-1 gains
- → **Ind AS 115** — receivables & contract assets → simplified ECL
- → **Ind AS 20** — below-market government loan: benefit = proceeds − Ind AS 109 FV → grant
- → **Ind AS 27** — investments in subs in SFS may be at Ind AS 109 FV
- → **Ind AS 1** — OCI buckets: FVOCI debt / CFH recycle; FVOCI equity / own credit don't

⑪ AAA bridge

Area	Requirement
SA 540	ECL models, SICR, forward-looking data, Level 3 FV — high estimation uncertainty
SA 620 / 500	Valuation / model experts
SA 505	Confirm balances, derivatives with banks / counterparties
CARO 3(iii)	Loans, advances, guarantees, security to others — terms prejudicial? repayment regular? overdue > 90 days?
CARO 3(ix)	Default in repayment of loans / borrowings; wilful defaulter; term loans used for purpose

> ✍ **Write in exam**
> "As per para 5.5.15 of Ind AS 109, the entity shall always measure the loss allowance at an amount equal to lifetime expected credit losses for trade receivables that do not contain a significant financing component (simplified approach)."

Ind AS 109 — Deep Dive

EIR, FVOCI flow, ECL matrix, modification test, intra-group loans & guarantees — all computed (₹).

① Amortised cost — EIR table

Bond face ₹1,00,000, coupon 6% annual, 3 years; bought for ₹95,000 + transaction cost ₹1,000 → initial carrying ***₹96,000****. EIR (solved) =* ***7.5392%****.*

Year	Opening	Interest at EIR (P&L)	Coupon received	Closing
1	96,000	7,238	6,000	97,238
2	97,238	7,331	6,000	98,569
3	98,569	7,431	6,000	1,00,000 → redeemed

EIR includes transaction costs and discount / premium → they're spread through interest, never expensed upfront (except FVTPL).

② Same bond as FVOCI (debt)

Year 1	Amount	Goes to
Interest income at EIR	7,238	**P&L**
12-month ECL (say)	500	**P&L expense; credit to OCI (not to asset)**
FV at year-end 97,500 vs amortised cost 97,238	262	**OCI**
Balance sheet carrying amount	**97,500** (FV)	

> ⚠ **TRAP**
> P&L of an FVOCI debt asset = ***exactly as if amortised cost*** (interest, ECL, FX). Only the FV difference sits in OCI — and it's ***recycled*** on sale.

③ ECL — provision matrix (simplified approach)

Ageing bucket	Receivables	Loss rate*	ECL
Not due	5,00,000	0.5%	2,500
1 – 30 days	2,00,000	1.5%	3,000
31 – 60 days	1,00,000	4%	4,000
61 – 90 days	50,000	10%	5,000
> 90 days	30,000	40%	12,000
Loss allowance			**26,500**

Historical loss rates* ***adjusted for forward-looking* *information (GDP, sector stress). Increase / decrease in allowance → impairment loss / gain in P&L.*

④ Loan modification — 10% test (borrower)

Loan ₹10,00,000 at 10% (original EIR), 3 years left. Lender agrees to cut interest to 7%; no fees.

Working	₹
PV of new cash flows at **original EIR 10%**: 70,000 × 2.4869 + 10,00,000 × 0.7513	9,25,394
PV of old remaining cash flows (= carrying amount)	10,00,000
Difference 7.46% → **< 10%** → **not substantial**	
Carrying amount adjusted to 9,25,394; **modification gain** → **P&L**	**74,606**

If ≥ 10% (or qualitatively substantial, e.g., currency change, equity conversion feature added) → **extinguish** old loan, recognise new at **FV**; difference → P&L; fees → part of gain / loss. Fees in the test: **fees paid net of fees received**.

⑤ Interest-free loan to subsidiary (parent's SFS)

Parent lends ₹10,00,000 to S, interest-free, repayable in 3 years; market rate 10%.

Entry	₹
Loan at FV = 10,00,000 ÷ 1.1^3	7,51,315
Difference → **investment in subsidiary** (capital contribution)	2,48,685
Year 1 interest income (unwinding at 10%)	75,131

In **S's** books: liability 7,51,315; difference 2,48,685 → **equity** (contribution from parent); interest expense unwinds. In **CFS**: everything eliminates. Loan to **employee** → difference = **prepaid employee benefit** (Ind AS 19).

⑥ Financial guarantee for subsidiary's bank loan

- → Parent (issuer): guarantee at **FV** (e.g., fee a bank would charge, say ₹50,000) → Dr **investment in sub**, Cr financial guarantee liability; amortise to income over guarantee period
- → Later: **higher of** (a) ECL allowance and (b) initial amount less cumulative income
- → Sub (holder): guarantee from parent → usually integral to loan, not separately accounted
- → CFS → eliminated

> Intra-group "free" benefits are never free: the gap between FV and price is a **capital contribution** (parent → investment; sub → equity).

7 SPPI & business-model cases

Instrument / situation	Result
Plain fixed / floating rate loan	**SPPI ✓**
Interest linked to **issuer's profit** or an **equity index**	**Fails → FVTPL**
Convertible bond (holder)	**Fails → whole at FVTPL (no bifurcation for asset hosts)**
Interest reset to 1-year rate every month (**tenor mismatch**) — modified time value	Benchmark test: if cash flows significantly different → fails
Prepayment at par + reasonable compensation	**SPPI ✓ (incl. negative compensation if reasonable)**
Bank sells loans only when credit risk rises	**Still HTC**
Treasury portfolio sold regularly for liquidity & yield	**HTC & sell** → FVOCI
Portfolio managed & evaluated on **FV** basis	**FVTPL**

8 Embedded derivatives — host is NOT a financial asset

Embedded feature	Separate?
Equity-linked interest in a debt **liability**	**Yes — not closely related**
Commodity-indexed payments in a debt liability	**Yes**
Interest-rate cap / floor out of the money at inception	**No — closely related**
Purchase contract in **functional currency** of either party / commonly used currency	**No**
Leverage feature that could at least double initial return	**Yes**

9 Cash flow hedge — numbers

Forward contract to hedge a highly probable USD purchase of machinery. Cumulative gain on forward ₹1,20,000; cumulative change in PV of hedged cash flows ₹1,00,000 (opposite).

Working	₹
OCI (CFH reserve) = lower of the two cumulative amounts	1,00,000
Ineffective portion → P&L	20,000
On purchase of machine → **basis adjustment**: CFH reserve removed and included in machine's cost (not via OCI)	

> ✍ **Write in exam**
> "As per para 4.1.2 of Ind AS 109, a financial asset shall be measured at amortised cost if it is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding."

#7 · 4.5% of marks

Ind AS 20 — Government Grants

Recognise when **reasonably assured**; match to the **costs it compensates**; never straight to equity.

1 Recognition 7 - 9

→ *Recognise only when **reasonable assurance** that (a) entity **will comply** with conditions, and (b) grant **will be received** 7*

→ ***Receipt alone** is **not** evidence that conditions have been / will be met 8*

→ *Recognise in **P&L on a systematic basis** over periods in which related costs are expensed — **never directly to equity / capital reserve** (income approach) 12*

⚠ TRAP

*Old AS 12 let **promoter's contribution**-type grants go to **capital reserve**. Ind AS 20: **all** grants go through **P&L** (as income or reduced expense / depreciation). Government acting as **owner** → equity contribution, not a grant.*

2 Matching — which period? 16 - 22

Grant for…	Recognise in P&L
Depreciable asset	Over useful life, in proportion to **depreciation**
Non-depreciable asset (land) with conditions (e.g., build a factory)	Over periods bearing the **cost of meeting the obligation** — e.g., life of the **building** 18
Non-depreciable asset, **no** further conditions	When conditions met / receivable
Package of conditions	Identify which costs each part compensates 19
Expenses already incurred / immediate support, no future costs	**P&L when receivable** 20
Forgivable loan	Grant when **reasonable assurance** of forgiveness 10

3 Below-market interest loan 10A

*Loan recognised at **FV under Ind AS 109** (PV at market rate).*

***Grant = proceeds received − initial Ind AS 109 carrying amount** → deferred income, released per the costs it compensates.*

Interest at market rate → finance cost via EIR.

NUMERICAL

4 Presentation 23 - 31

Grant type	Option A	Option B
Related to assets 24	***Deferred income*** — released to P&L over life	***Deduct from carrying amount*** — lower depreciation
Related to income 29	Separate credit / ***other income***	***Deduct from related expense***
Non-monetary (land, resources) 23	***Fair value***	***Nominal amount***

Cash flow statement: purchase of asset and receipt of grant shown ***separately***, whichever presentation is used 28.

5 Repayment of a grant 32

Treated as a ***change in accounting estimate*** (Ind AS 8) — ***not*** a prior-period error.

Grant type	Repayment treatment
Income-related	First against any ***unamortised deferred credit***; excess → ***P&L immediately***
Asset-related	***Increase asset*** carrying amount or ***reduce deferred income***; ***cumulative extra depreciation*** that would have been charged without the grant → ***P&L immediately***

Example

Machine ₹100 L, life 5 yrs, grant ₹20 L (deducted from cost). After 2 yrs grant repaid.

Carrying amount now 80 × 3/5 = ₹48 L → add back ₹20 L → ₹68 L.

Depreciation without grant for 2 yrs = 40; actually charged = 32 → ***extra ₹8 L to P&L now***.

New carrying amount ₹60 L (= 100 × 3/5) depreciated over remaining 3 yrs.

⚠ TRAP

Repayment may also signal ***impairment*** of the asset — test under Ind AS 36 33.

⑥ Scope — what is NOT Ind AS 20

- → **Government assistance** that can't be valued (free technical advice, guarantees) → disclose only 34 - 38
- → **Income-tax benefits** — tax holidays, investment tax credits, accelerated allowances → Ind AS 12
- → **Government as owner** (equity infusion) → equity
- → Grants on **biological assets at FV less costs to sell** → **Ind AS 41** (unconditional → P&L when receivable; conditional → when conditions met)
- → Transactions with government that are normal trading (sales) → Ind AS 115

⑦ Cross-standard links

- → **Ind AS 16 · 28** — grant may reduce PPE cost
- → **Ind AS 109** — FV of government loans; Ind AS 101 exception: below-market loans at transition use previous-GAAP carrying amount
- → **Ind AS 8** — repayment = change in estimate
- → **Ind AS 37** — conditions breached → repayment obligation may be a provision / contingent liability
- → **Ind AS 12** — taxability of grant / deferred income creates TDs
- → **Ind AS 7** — separate presentation of grant receipts

⑧ Disclosures 39

- → Policy and presentation method adopted
- → Nature and extent of grants recognised; other assistance benefited from
- → **Unfulfilled conditions** and other **contingencies**

⑨ AAA bridge

Area	Requirement
SA 250	Compliance with grant conditions (laws & regulations / scheme terms)
SA 500 / 505	Sanction letters, utilisation certificates, confirmations
SA 540	Judgement on "reasonable assurance"; useful life for release pattern
SA 570	Large repayment on breach may affect going concern

> ✍ **Write in exam**
> "As per para 12 of Ind AS 20, government grants shall be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grants are intended to compensate. Since the land is granted on condition that a factory is constructed, the grant is recognised over the life of the factory building (para 18)."

#8 · 3.4% of marks

Conceptual Framework (Ind AS)

The "why" behind every Ind AS. Exam answers: define the element → apply the recognition test → name the qualitative characteristic.

1 Status & purpose

- → **Not an Ind AS** — does **not override** any Ind AS. Where conflict, the **Ind AS prevails**
- → Helps standard-setters develop Ind AS; helps preparers develop **policies when no Ind AS applies** (Ind AS 8 para 11(b)); helps users understand

2 Objective of general purpose financial reporting

Provide information useful to **existing and potential investors, lenders and other creditors** in making decisions about **providing resources** — including assessing management's **stewardship** of the entity's economic resources. Information about: economic resources & claims; changes in them (financial performance — accrual basis; cash flows); efficiency & effectiveness of management.

3 Qualitative characteristics

Fundamental

Relevance — predictive value, confirmatory value; **materiality** (entity-specific)

Faithful representation — **complete**, **neutral**, **free from error**. Neutrality is supported by **prudence** = caution under uncertainty — **no** deliberate under / overstatement

Enhancing

Comparability (not uniformity) · **Verifiability** · **Timeliness** · **Understandability**

Enhancing can't make useless info useful. Applied after fundamental ones.

Cost constraint — benefits must justify cost

- → **Substance over form** — faithful representation of the economic phenomenon, not just legal form
- → **Measurement uncertainty** doesn't stop information from being useful — but high uncertainty can affect relevance vs faithful representation trade-off

4 Going concern & reporting entity

- → Underlying assumption: **going concern**; if not, a different basis + disclose
- → Reporting entity: one entity, part of one, or several — **consolidated**, **unconsolidated** or **combined** FS

MOST TESTED

5 The elements

Element	Definition
Asset	A **present economic resource controlled** by the entity as a result of **past events**. Economic resource = a **right** with the **potential** to produce economic benefits
Liability	A **present obligation** to **transfer an economic resource** as a result of **past events**. Obligation = duty the entity has **no practical ability to avoid**
Equity	**Residual** interest in assets after deducting liabilities
Income	Increases in assets / decreases in liabilities → increase in equity, **other than** contributions from equity holders
Expenses	Decreases in assets / increases in liabilities → decrease in equity, **other than** distributions to equity holders

⚠ TRAP

The asset definition needs only **potential** to produce benefits — **not** "**expected / probable**" inflows.

Probability now sits in **recognition** (relevance) and **measurement**, not in the definition.

6 Recognition & derecognition

- → Recognise an item meeting an element definition only if it gives **relevant** information and a **faithful representation** — **no fixed probability threshold**
- → Recognition may **not** give relevant info if: **existence uncertainty**, or **low probability** of inflows / outflows
- → May not give faithful representation if **measurement uncertainty** is very high
- → **Derecognition**: when the entity loses control of the asset / no longer has the present obligation
- → **Unit of account** chosen to give relevant, faithful info (e.g., individual right vs group)
- → **Executory contracts** (equally unperformed) → combined right & obligation; recognised if onerous

7 Measurement bases

Basis	Includes
Historical cost	Cost incl. transaction costs; amortised cost for financial items
Current value	**Fair value** (market participant, exit price) · **Value in use** (assets) / **Fulfilment value** (liabilities) — entity-specific · **Current cost** (entry value)

⑧ Presentation & disclosure

- → ***Statement of profit or loss*** *is the primary source of performance information; income / expense go to P&L by default*
- → ***OCI*** *only in exceptional cases, when a standard requires (e.g., current value changes that make P&L less relevant)*
- → *Rebuttable presumption that OCI items* ***are recycled*** *later — unless no clear basis (hence revaluation surplus, DB remeasurement aren't)*
- → *Classification, aggregation, offsetting — communicate effectively*

⑨ Capital & capital maintenance

Concept	Profit exists only if…
Financial *capital (nominal money)*	*Net assets at end (money) exceed net assets at start, after owner transactions*
Financial *capital (constant purchasing power)*	*Increase exceeds the general price-level increase*
Physical *capital (operating capability)*	*Productive capacity at end exceeds that at start (current cost basis)*

⑩ How ICAI asks it — answer pattern

Scenario	Framework reasoning
Trained workforce / skilled staff as an asset?	***No control*** *over employees → not an asset (recognise cost as expense)*
Future operating losses provision?	*No* ***present obligation*** *from past event → not a liability*
Legal form says sale, but seller keeps risks / buys back	***Substance over form*** *→ financing*
Management wants extra "prudent" provisions	*Prudence ≠ understatement; breaches* ***neutrality***
Lease drafted to dodge covenants (ethics PYQ)	*Faithful representation / substance; Ind AS 116 recognises liability anyway*
Patent with uncertain but possible future benefit	*Meets asset definition (potential); recognition depends on relevance / measurement*

Answer order: **Definition** → **Recognition** → **Measurement** → **Qualitative characteristic** (name it!).

> ✍ **Write in exam**
> *"As per the Conceptual Framework, a liability is a present obligation of the entity to transfer an economic resource as a result of past events. Since the entity can avoid the future expenditure by its future actions, there is no present obligation and no liability shall be recognised."*

#9 · 3.1% of marks

Ethics — CA in Business (FR Ch 16)

FR asks ethics **through an accounting scenario**. Score = **Ind AS treatment + principle breached + what the CA should do.**

1 Five fundamental principles

Principle	Means for a CA preparing FS
Integrity	*Straightforward, honest; not associated with **false / misleading** information or omissions*
Objectivity	*No bias, conflict of interest or **undue influence** overriding judgement*
Professional competence & due care	*Keep knowledge current; act diligently per Ind AS; don't undertake beyond expertise*
Confidentiality	*Don't disclose / use information without authority unless legal / professional duty*
Professional behaviour	*Comply with laws; avoid conduct that discredits the profession*

2 Conceptual framework approach

***Identify** threats → **Evaluate** (acceptable level? "reasonable & informed third party" test) → **Address** (eliminate circumstances, apply safeguards, or **decline / end** the activity)*

3 The five threats — spot them

Threat	Typical FR scenario
Self-interest	*CFO's **bonus / ESOPs** tied to profit or share price; loan from entity; fear of losing job*
Self-review	*Reviewing a business case / valuation you prepared*
Advocacy	*Promoting the entity's position so strongly that objectivity suffers (e.g., to a bank)*
Familiarity	*Close relative is a key supplier / customer; long relationship with a director*
Intimidation	*Directors threaten dismissal / demotion unless numbers are "managed"*

4 Preparing & presenting information

- → Prepare per the **applicable framework**; don't use discretion to **mislead** — e.g., pick estimates, **timing** of transactions, **structuring** to achieve an outcome, or selective disclosure
- → **Relying on others' work** (internal / external) → consider their reputation, expertise, resources; be satisfied it's reasonable
- → Information **is or might be misleading** → consult superior / TCWG; insist on correction; consider policies, legal advice; **refuse to be associated**; consider **resigning**

5 Pressure to breach principles

- → Don't allow pressure from others to make you breach, and **don't pressure** others
- → Respond: discuss with person exerting pressure → escalate to superior / audit committee / TCWG → use whistle-blower / ethics channel → legal advice → **disassociate**

6 Financial interests, inducements, competence

- → **Incentives** linked to reported numbers → self-interest; safeguards: independent review by audit committee, remuneration policy
- → **Inducements** (gifts, hospitality) intended to improperly influence → refuse; inform superior
- → **Lack of expertise / time / resources** → obtain training / help, or decline

7 NOCLAR — non-compliance with laws & regulations

CA	Response
Senior CA in business (CFO, director)	Understand the matter; discuss with superior / TCWG; take steps to rectify, remediate, mitigate, deter; disclose to **external auditor**; determine further action — **may disclose to authority**, may resign; document
Other CA in business	Understand; **inform immediate superior** (or next level if superior involved); may consider further action

Confidentiality does not prevent disclosure where the Code / law permits. Check the Code edition and NOCLAR scope prescribed for your attempt.

8 CA Act misconduct links

- → Professional / other misconduct under the **First & Second Schedules** applies to members in service too — e.g., false / misleading statements, gross negligence, disclosing confidential information, conduct bringing disrepute

PYQ / MTP PATTERNS

9 Recent ICAI scenarios — model reasoning

Scenario	Accounting	Ethics
Channel stuffing — goods to distributors without orders, 180-day credit, right of return (PYQ Jan 2026)	Ind AS 115: control not transferred / returns expected → **no revenue** for those	Integrity, objectivity; misleading info; escalate
Marketing spend deferred as an asset	Not an asset (Ind AS 38 / CF) → **expense**	Window dressing
Loan to director shown as cash equivalent to impress bank (MTP Jan 2026)	Ind AS 7: not short-term, highly liquid → **financial asset** (Ind AS 109)	Integrity, objectivity, professional behaviour; **intimidation / advocacy** threats
Lease drafted to avoid covenant breach (MTP May 2025)	Ind AS 116: lease liability recognised regardless of drafting; **substance**	Integrity; faithful representation; refuse, escalate
CFO bonus tied to profit; pressure to delay impairment	Ind AS 36: test & recognise impairment	**Self-interest + intimidation**; audit committee

10 The 3-part answer template

1. **Accounting position** — what the Ind AS requires and why the proposed treatment is wrong (cite para).
2. **Ethical issue** — which **principles** are threatened and which **threats** exist (self-interest, intimidation…).
3. **Action** — discuss with management → escalate to audit committee / TCWG → refuse to be associated with misleading info → legal advice / whistle-blower → resign if unresolved; document.

Never stop at "it's unethical" — **fix the accounting first**, then name the principle, then the action.

✍ **Write in exam**

"The proposal to record revenue on goods shipped without confirmed orders and with a right of return contravenes Ind AS 115, as control has not transferred. As a Chartered Accountant, the CFO must comply with the fundamental principles of integrity and objectivity and must not be associated with information that is materially false or misleading. He should raise the matter with the Board / Audit Committee, insist on correction, and if unresolved, consider legal advice and disassociating himself."

#10 · 3.1% of marks

Ind AS 23 — Borrowing Costs

Capitalise borrowing costs **directly attributable** to a **qualifying asset** — **mandatory**, not a choice. Everything else → P&L.

1 Definitions 5 - 7

- → ***Qualifying asset***: *necessarily takes a **substantial period** to get ready for intended use / sale (judgement; no fixed months in the standard) — plants, power stations, investment property, intangibles, inventories needing long production*
- → ***Not** qualifying: assets ready when acquired; financial assets; inventories produced over a short period*
- → ***Borrowing costs** include: interest via **EIR** (Ind AS 109), interest on **lease liabilities** (Ind AS 116), **exchange differences** on foreign-currency borrowings **to the extent regarded as an adjustment to interest cost** 6(e)*
- → ***Cost of equity** (incl. preference shares classified as equity) is **not** a borrowing cost*

Exchange difference cap 6A

*Adjustment to interest = (interest on equivalent **local-currency** borrowing) − (actual foreign-currency interest). Exchange loss capitalised up to that difference; rest → P&L. Gain / loss computed **cumulatively** — a later gain reverses earlier capitalised loss only up to that amount.*

2 Optional scope exclusions 4

- → *Qualifying assets measured at **fair value** (e.g., biological assets)*
- → ***Inventories** manufactured in **large quantities on a repetitive basis***

3 How much to capitalise 10 - 15

Borrowing	Amount capitalised
Specific	***Actual** borrowing costs **less** investment income on **temporary** investment of unspent funds*
General	***Capitalisation rate** × expenditure on the asset (weighted for time). Rate = weighted average cost of general borrowings, **excluding** specific ones **until the asset is substantially complete** (2019 amendment)*

- → *Amount capitalised **≤ borrowing costs actually incurred***
- → *Expenditure = cash paid, assets transferred, interest-bearing liabilities assumed — **reduced by progress payments & grants** 18*

NUMERICAL

4 Commence · Suspend · Cease 17 – 25

Stage	Rule
Commence	When **all three**: expenditure incurred + borrowing costs incurred + activities to prepare the asset undertaken (incl. technical / admin work before construction, e.g., permits)
Suspend	During **extended** periods when **active development is suspended**. **Not** for temporary delays that are a necessary part of the process (e.g., high water levels typical of the region) or when substantial technical / admin work continues
Cease	When **substantially all** activities to prepare the asset are **complete** (minor modifications / decoration left). Parts completed & usable while rest continues → cease for **that part**

⚠ TRAP

Holding **land** without development activity → **no** capitalisation (land itself isn't qualifying once development stops). Strike / dispute halting work for months → **suspend**. Monsoon break normal for the area → **don't suspend**.

5 Worked example — general borrowings

General borrowings outstanding all year	Interest
₹500 L at 10%	₹50 L
₹300 L at 12%	₹36 L
Capitalisation rate = 86 / 800	**10.75%**

Expenditure on qualifying asset	Weighted
₹200 L on 1 Apr (12/12)	₹200 L
₹240 L on 1 Oct (6/12)	₹120 L
Weighted expenditure	**₹320 L**
Capitalised = 320 × 10.75%	**₹34.4 L** (≤ ₹86 L actual ✓)

6 Links & AAA

- → **Ind AS 16 / 38 / 2** — capitalised into cost; **Ind AS 109** — EIR basis; **Ind AS 116** — lease interest; **Ind AS 101** — option to retain previous-GAAP capitalised amounts
- → **Ind AS 20** — grants reduce expenditure base
- → AAA: **CARO 3(ix)(c)** term loans applied for purpose; **3(ix)(d)** short-term funds not used for long-term purposes; SA 540 judgement on "substantial period" / suspension

✍ Write in exam

"As per para 20 of Ind AS 23, an entity shall suspend capitalisation of borrowing costs during extended periods in which it suspends active development of a qualifying asset; however, capitalisation is not suspended when a temporary delay is a necessary part of the process of getting the asset ready (para 21)."

#11 · 2.8% of marks

Accounting & Technology

ICAI asks: "**which technology** fits this scenario and **why**?" Match the pain point to the tool, then explain how it works step by step.

① Scenario → tool (ICAI's own answers)

Pain point in the question	Tool	Why (ICAI reasoning)
Many subs (incl. foreign) — CFS must be **accurate, consistent, timely** (PYQ Sep 2025; MTP Nov 2026)	**RPA**	Bots extract each sub's data → currency conversion → identify & **eliminate intra-group** items (Ind AS 110) → compute **NCI**, OCI split → generate consolidated BS, P&L, SOCE, CFS
Finance teams in different locations working on same workings	**Cloud collaboration** (Teams, Google Workspace)	Real-time updates, **version control / audit trail**, access controls for sensitive data
Sensitive customer data (personal, transaction records) in a financial institution (PYQ Sep 2025)	**Blockchain**	Secure, encrypted network; cryptographic algorithms & consensus → integrity, no unauthorised access / tampering / loss; trust of customers & regulators
Data / software needed from any device; remote work	**Cloud computing**	Services delivered over the internet
Disconnected departments, duplicate data entry	**ERP**	Single integrated database across modules; real-time info
Fraud / anomaly detection, forecasting, document reading	**AI / data analytics**	Pattern recognition on full populations

② Cloud computing (PYQ May 2026 — 5 marks)

Definition: delivery of computing services **over the internet**, letting accountants access data & software **from any device** with internet — kept accounting & reporting running during lockdown.

- → **Cloud storage** — Dropbox, Google Drive, OneDrive
- → **SaaS** — Salesforce (CRM), Slack, QuickBooks Online
- → **IaaS** — AWS, Azure, Google Cloud (pay-as-you-go servers)
- → **PaaS** — Azure App Service, Google App Engine
- → **Communication & collaboration** — Teams, Workspace, Zoom
- → **Cloud e-commerce** — online stores, payments, inventory
- → **Big data analytics** — Redshift, BigQuery, Azure Data Lake
- → **Content streaming** — e.g., Netflix

Benefits: reduced costs (no hardware), scalability, anywhere access, real-time collaboration, improved reporting & analytics, automatic backup / updates.

3 ERP & controls (MTP Nov 2026 weaknesses)

Weakness flagged	Fix
Journal vouchers not standardised	Standard JV **templates**, mandatory fields, maker-checker approval
Changes to closing / reporting process not authorised	**Change management** with approval workflow & logs
Roles of finance staff undocumented	Documented roles, **segregation of duties** matrix
GL user access never reviewed	**Periodic user-access review**; remove leavers; least privilege
Inventory counts slow / error-prone	**Barcode / RFID** tracking linked to ERP

ERP benefits: unified database, lower management & operational costs, real-time reporting, standardised processes, better compliance.

4 Cybersecurity in accounting

Threats

Phishing · ransomware · malware · insider threats · weak passwords / credential theft · unpatched systems · data breaches

Proactive measures

MFA & access controls · encryption · staff training · patching · regular backups · firewalls / monitoring · incident-response plan

5 Blockchain & AI in reporting

- **Blockchain**: distributed, tamper-evident ledger → **transparency**, immutability, **real-time reporting**, fewer reconciliations (shared ledger with counterparties), **smart contracts** auto-executing terms
- **AI**: automated data capture (invoices), anomaly / fraud detection, predictive forecasting, chatbots, continuous audit
- **Automation / RPA**: rule-based repetitive tasks — bank recs, intercompany matching, closing entries; facilitates **compliance**

6 Law link — audit trail

- Companies (Accounts) Rules: accounting software must have an **audit trail (edit log)** that **cannot be disabled** (from 1 Apr 2023); auditor reports on it under **Rule 11(g)** of Audit & Auditors Rules
- Electronic books: backup on servers **physically located in India**, on a **daily** basis

Answer shape: **Name the tool → how it works in THIS scenario (steps) → benefit to accuracy / speed / security.** Tie to Ind AS where the question does (e.g., Ind AS 110 eliminations).

Nov 2026 attempt

Ind AS 1 — Presentation of FS

Only what gets examined + what confuses. Read once, close the book, recall.

1 Complete set of FS para 10

1. Balance Sheet
2. Statement of P&L **incl. OCI — ONE statement**
3. Statement of Changes in Equity
4. Cash Flow Statement
5. Notes (**material** accounting policy info)
6. Comparatives of previous period

Third Balance Sheet 40A

Needed only if **ALL**:

→ retrospective policy change / restatement / **reclassification**

→ MATERIAL effect on opening BS of comparative year

Dated **start of preceding period**

(FY 24-25 FS → 1 Apr 2023). No notes needed except Ind AS 8 disclosures.

2 Indian carve-outs vs IAS 1

Point	IAS 1	Ind AS 1
P&L and OCI	1 or 2 statements	**Single statement only**
Analysis of expenses	Nature or function	**Nature only** 99
Covenant breach on/before RD, lender waives **after RD but before approval**	**Current**	**Non-current** 74

3 Going concern 25-26

Assess **at least 12 months from end of reporting period** (minimum, not a limit)

Material uncertainty but GC still OK → **use GC + disclose uncertainty**

Intends to liquidate / cease, **or no realistic alternative** → **NOT going concern basis**

Disclose: **fact + basis used + reason**

Uncertainty → DISCLOSE. No realistic alternative → CHANGE BASIS.

4 One-liners that fetch marks

→ **Extraordinary items — PROHIBITED** 87. Exceptional items may be shown (Sch III).

→ **No offsetting** unless an Ind AS requires/permits 32. OK: gain/loss on disposal of NCA shown net; expense net of Ind AS 37 reimbursement.

→ **Materiality:** material items shown separately; immaterial item → no disclosure even if an Ind AS lists it.

→ **Change in presentation:** reclassify comparatives + disclose nature, amount, reason 41 (impracticable → say why).

→ **Material** accounting policy info (2023 amendment) — ~~significant~~. Standardised text that just repeats Ind AS = not material.

→ **Departure from Ind AS** 19 — only "extremely rare" misleading case, framework must not prohibit; heavy disclosure.

→ **Judgements** 122 ≠ **estimation uncertainty** 125 (risk of material adjustment **within next year**).

→ **Capital management** disclosure 134–136. **Dividends** proposed after RD + **arrears of cumulative pref.** → notes 137.

5 The tests 66 · 69

ASSET is current if ANY:

- realised in normal operating cycle
- held for trading
- realised within 12 months
- cash / CE (unless restricted ≥ 12 m)

LIABILITY is current if ANY:

- settled in normal operating cycle
- held for trading
- due within 12 months
- **no RIGHT at RD to defer ≥ 12 m** 69(d)

→ Operating cycle **not identifiable** → **assume 12 months** 68 · 70

→ Trade payables, accrued employee cost in operating cycle → **current** even if due > 12 m

→ **Deferred tax** → **NEVER current** 56

→ Counterparty's conversion option **classified as equity** → ignored for classification 69(d)

MOST EXAMINED

⑥ Loan classification — every permutation

#	Situation (RD = 31 Mar)	Result	Para
1	Unconditional refinancing **signed on/before RD**	**Non-current**	69(d)
2	**Existing** facility, roll-over at **entity's own discretion** ≥ 12 m & intends to	**Non-current**	73
3	Roll-over needs **lender's** approval / no facility	**Current**	73
4	Signed before RD but **conditional** (bank credit committee approves after RD)	**Current**	no right at RD
5	Only **discussions** at RD → refinanced after RD, **before** approval	**Current**	72 · disclose 76
6	Discussions at RD → refinanced **after FS approved**	**Current**	no refi note; liquidity / GC
7	Breach on/before RD; **grace agreed by RD**, ends **≥ 12 m** after RD	**Non-current**	75
8	Breach; grace agreed by RD but ends **< 12 m** after RD	**Current**	75
9	Breach on/before RD; lender waives **after RD, before approval**	**Non-current**	**74 carve-out**
10	Breach; waiver **after FS approved**	**Current**	window closed
11	Breach happens **after RD** (covenant tested in April)	**Non-current**	Ind AS 10 non-adj
12	Instalment loan (₹10 cr due in 12 m of ₹50 cr)	₹10 **C** / ₹40 **NC**	current maturities

REFINANCE = CREATE a new right → **Current**
WAIVER = RESTORE the old 2029 loan → **Non-current**

📷 **Photograph test:** the BS is a photo at midnight 31 Mar. A right signed in April is a **new photo** — can't edit the old one.

⚠ **TRAP**

Approval date **NEVER changes refinancing** classification (always current) — it only decides disclosure.
In **breach-waiver**, approval date **DOES flip** it (before → NC, after → C).
"Exactly 12 months" grace = **at least 12** → **NC**.

ASKED EVERY ATTEMPT

7 OCI — the two buckets 82A

Will NOT be reclassified to P&L	WILL be reclassified to P&L
Revaluation surplus (Ind AS 16 / 38)	Cash flow hedge — effective portion
Remeasurement of defined benefit plans	FVOCI **DEBT** instruments
FVOCI **EQUITY** instruments	Foreign operation translation difference
Own credit risk — FVTPL liability	Cost of hedging (time value / forward points)

→ **Tax on OCI:** per item **or** per bucket — never one lump for all OCI.

→ **Reclassification adjustment** = amount recycled from OCI to P&L in current period — disclose.

⚠ TRAP

Revaluation surplus never recycles — may be transferred **directly to retained earnings** (within equity), not via P&L.

FVOCI equity: gain stays out of P&L **even on sale**. **FVOCI debt**: recycled on sale.

Memory: "DEBT comes back, EQUITY never does."
Hedge & Forex also come back (they were always "temporary").

8 Exam-ready sentences

✍ Write in exam

Refinancing after RD: "As per para 69(d) of Ind AS 1, the right to defer settlement must exist at the end of the reporting period. Since the refinancing agreement was concluded after the reporting period, the loan is classified as current (para 72); the refinancing is a non-adjusting event and is disclosed as per para 76 read with Ind AS 10."

✍ Write in exam

Breach waiver: "As per the Indian carve-out in para 74 of Ind AS 1, since the lender agreed after the reporting period but before approval of the financial statements for issue not to demand payment as a consequence of the breach, the liability shall not be classified as current."

✍ Write in exam

Going concern: "Management has identified material uncertainties that may cast significant doubt on the entity's ability to continue as a going concern; the FS are prepared on a going concern basis and these uncertainties are disclosed (para 25)."

9 60-second recall checklist

- ☐ 6 components
- ☐ GC: disclose vs change
- ☐ OCI 4 + 4 items
- ☐ 3rd BS: 2 conditions
- ☐ 12-row loan table
- ☐ Extraordinary banned
- ☐ 3 carve-outs
- ☐ DT never current
- ☐ Material policy info

#13 · 2.8% of marks

Ind AS 105 — Held for Sale & Discontinued Ops

Classify (strict criteria) → measure at **lower of** CA and FV − CTS → **stop depreciation** → present separately.

① HFS criteria — ALL must be met at RD 6 - 8

Available for immediate sale

In **present condition**, on usual / customary terms (e.g., not still under construction, not needing major repair the buyer demands)

Sale highly probable

- Management (appropriate level) **committed to a plan**
- **Active programme** to locate a buyer started
- **Actively marketed** at a **reasonable price** vs FV
- Completion expected **within 1 year**
- Significant changes / withdrawal **unlikely**
- Shareholder approval probability considered

→ **> 1 year** allowed if delay due to **events beyond control** and entity **remains committed** 9 · App B

→ Asset acquired exclusively for resale → HFS at acquisition if 1-year test met and others met **within a short period (≈ 3 months)** 11

→ Criteria met **after RD** (before approval) → **not HFS** at RD; disclose (Ind AS 10 non-adjusting) 12

→ **Abandoned** assets → **not HFS** (recovered through use) — but may be a **discontinued operation** when abandoned 13

→ **Held for distribution to owners** → same treatment (FV less costs to distribute) 12A

② Measurement 15 - 25

→ Just before classification → measure under **applicable Ind AS** (depreciate, impair)

→ Then: **lower of carrying amount and FV less costs to sell**

→ Write-down → **impairment loss in P&L**; later increase in FV − CTS → **gain** but **only up to cumulative losses** recognised (Ind AS 105 + earlier Ind AS 36)

→ **No depreciation / amortisation** while HFS; interest & other expenses of liabilities in a disposal group continue

→ Sale beyond 1 year → costs to sell **discounted**; unwinding → finance cost

3 Disposal groups

- → Group of assets (+ directly associated liabilities) disposed together in one transaction
- → Impairment loss allocated to **non-current assets in scope** in Ind AS 36 order: **goodwill first**, then pro rata 23
- → **Measurement-scope exclusions** (keep own standard): DTA, employee-benefit assets, Ind AS 109 financial assets, biological assets at FV – CTS, insurance contracts 5
- → Plan to sell a **subsidiary** with loss of control → classify **all** its assets & liabilities as HFS, even if a non-controlling stake is retained 8A
- → Investment in associate / JV becoming HFS → **stop equity method** for that portion (Ind AS 28 · 20)

4 Change of plan 26 - 29

No longer HFS → measure at **lower of**: (a) carrying amount **before** classification, **adjusted** for depreciation / amortisation / revaluation that would have been recognised; and (b) **recoverable amount** at the date of decision. Adjustment → **P&L from continuing operations**.

5 Discontinued operation 32

A **component** disposed of / HFS that: is a **separate major line of business or geographical area**; or part of a single plan to dispose of one; or a **subsidiary acquired exclusively for resale**.

6 Presentation – the comparatives trap

Statement	Presentation	Comparatives?
P&L	**Single amount**: post-tax profit / loss of DO + post-tax gain / loss on remeasurement / disposal; analysis in notes 33	**RE-PRESENTED** 34
Balance sheet	HFS assets and HFS liabilities **separately**; **not offset**; OCI accumulated shown separately 38	**NOT restated** 40
Cash flows	Net operating, investing, financing cash flows of DO disclosed	**Re-presented**

P&L tells a **story over time** → re-present comparatives. Balance sheet is a **photo on the date** → leave last year's photo alone.

7 Links & AAA

- → **Ind AS 16** – depreciation stops on HFS; **Ind AS 36** – goodwill-first allocation; **Ind AS 10 / 10S · 12** – post-RD criteria; **Ind AS 33** – EPS for DO; **Ind AS 108** segments
- → AAA: **SA 540** (FV – CTS); **SA 580** (management's intent); **SA 570** if major operations discontinued

✍ **Write in exam**

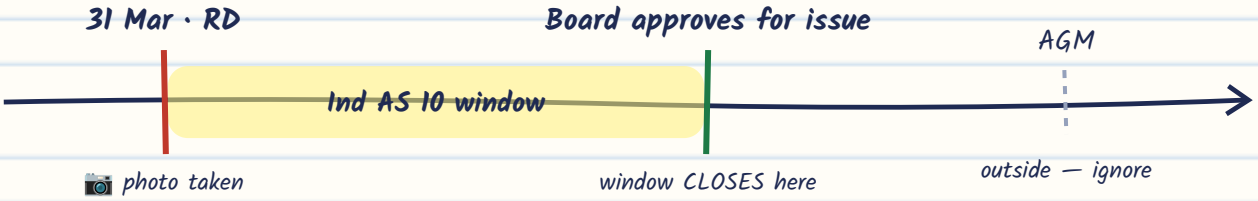
"As per para 15 of Ind AS 105, a non-current asset classified as held for sale shall be measured at the lower of its carrying amount and fair value less costs to sell, and as per para 25 it shall not be depreciated while so classified."

Nov 2026 attempt

Ind AS 10 — Events after Reporting Period

One question decides everything: **did the condition exist on the reporting date?**

① The window



→ Approval date = when **Board authorises issue**, even if shareholders approve later [5]
→ If management issues to a supervisory board first → date management authorises issue to it [6]
→ Window includes events **after public announcement of profit** [7]
→ Event after FS approved → **not in these FS at all**; next year's problem.

② Adjusting events [3(a) · 8 · 9]

New **evidence** about a condition that **already existed** at RD → **change the numbers**.

¶	Example	Why it is old
(a)	Court case settled after RD	obligation existed at RD → adjust provision (Ind AS 37)
(b)(i)	Customer bankrupt after RD	**usually** confirms loss at RD
(b)(ii)	Inventory sold after RD below cost	evidence of NRV at RD
(c)	Cost of asset bought / proceeds of asset sold **before RD**, fixed after	transaction already happened
(d)	Bonus / profit-sharing fixed after RD	if legal/constructive obligation at RD
(e)	Fraud or error discovered	FS were wrong at RD

③ Non-adjusting events 3(b) · 10 · 11 · 22

A **new condition** arising after RD → **no change to numbers; disclose if material.**

- → Fall in **fair value of investments** 11
- → Major business combination / disposal of subsidiary
- → Plan to **discontinue** an operation announced
- → Major asset purchases, **HFS classification**, expropriation
- → **Fire** destroying a major plant
- → Major **restructuring** announced / commenced
- → Major ordinary share transactions
- → Abnormal changes in asset prices / **FX rates**
- → **Tax rate** changes enacted after RD
- → Big commitments / guarantees; litigation from post-RD events

Adjusting events **explain the past.** Non-adjusting events **change the future.**

④ Look-alike twins — trace the CAUSE, not the date

ADJUSTING (cause existed at RD)	NON-ADJUSTING (cause arose after RD)
Customer insolvent in April; was already in difficulty on 31 Mar	Customer healthy on 31 Mar; **fire in April** → insolvent
Inventory sold below cost in April; value already low	**Govt ban in April** → sold as scrap
Court rules on a case **pending at RD**	New lawsuit from an **April incident**
Prior-year fraud found in May → restate (Ind AS 8)	Market crash in April cuts investment values
Breach on/before RD, waived before approval **(Indian carve-out)**	Loan **refinanced** after RD

⚠ TRAP

Para 9(b)(i) says bankruptcy "**usually**" confirms a year-end loss — **usually ≠ always.** If the customer was healthy at RD, it is **non-adjusting.**

Ask: "Was this already true at midnight on 31 March?" Yes → adjust. No → disclose.

5 Going concern override 14–16

After RD, management **intends to liquidate / cease** or has **no realistic alternative** → **do NOT prepare on GC basis**.

Only exception to the photo test — it changes the **basis**, not just a figure. No formal resolution needed.

6 Dividends 12–13

Declared after RD → **NOT a liability** (no obligation at RD) → disclose (Ind AS 1 para 137).

Board recommends final dividend **before** RD, AGM after → **still not a liability**. Interim declared by Board before RD → liability.

7 Cross-standard links (where marks hide)

Event after RD	Treatment
Bonus issue / split before approval	Non-adjusting for BS, **but EPS restated retrospectively** (Ind AS 33 para 64)
HFS criteria met after RD	Not HFS at RD; disclose (Ind AS 105 para 12)
Restructuring announced after RD	No provision at RD (Ind AS 37); disclose
New tax rate enacted after RD	DT at rates enacted / substantively enacted **by RD** (Ind AS 12); disclose
Prior-period error found	Adjusting; restate comparatives (Ind AS 8); 3rd BS if material (Ind AS 1 40A)

8 Disclosures 17–22

- → **Date of approval & who approved**; if owners can amend FS after issue, say so 17
- → New info about conditions at RD → **update disclosures** 19
- → Material non-adjusting: **nature + estimate of financial effect** (or statement that it can't be estimated) 21

> ✍ **Write in exam**
> "The event does not provide evidence of conditions that existed at the end of the reporting period; hence it is a non-adjusting event as per Ind AS 10. Its nature and an estimate of its financial effect are disclosed (para 21)."

9 Approval-date nuances 5·6·7

→ Window closes at **Board approval** — ~~audit report date~~, ~~AGM~~.

→ Supervisory board of non-executives → date **management authorises issue to it** 6

→ Events after **public announcement of profit** but before approval → **still inside** 7

→ Error found **after** approval → outside Ind AS 10 → **Ind AS 8 restatement next year**.

10 Trace the obligating event

Case	Treatment
Accident **Feb**, workers sue in **April**	**Adjusting — provide (Ind AS 37) if probable**
Accident in **April**, suit in May	**Non-adjusting** 22(j)
Restructuring plan **approved & announced before RD**, costs fixed April	**Adjusting — provide**
Restructuring **announced after RD**	**Non-adjusting** 22(e)
Guarantee: guaranteed party **already in default in March**, known in April	**Adjusting — provision + update disclosure** 19
Fire in April **+ insurance recovery**	**Ignore BOTH; disclose net effect**
Sharp FX move in April on USD receivables	**Non-adjusting; closing rate stands** 22(g)
Subsidiary declares dividend after RD	**Parent: no income at RD (right to receive later)**

11 Share transactions after RD

Bonus / split / reverse split

Share capital at RD **unchanged**, but **EPS restated** for all periods Ind AS 33 · 64

Rights issue

No EPS restatement; disclose only Ind AS 33 · 70(d)

Carve-out lives in **both**: Ind AS 1 para 74 (classification) **and** Ind AS 10 (lender's waiver after RD = **adjusting**).

⚠ TRAP

Para 19: info about a condition **existing at RD** updates **disclosures** too — not just numbers.

12 Fire destroys main factory — GC ladder (management)

Management concludes (before approval)	FY 24-25 FS
GC unaffected (insured / rebuild)	Non-adjusting; disclose nature + estimated effect 21
Material uncertainty, GC still OK	GC basis; disclose fire + **material uncertainty** 16(b) + Ind AS 1 25
Intends / **no realistic alternative** to cease	**NOT GC basis — fundamental change of basis** 14 · 15

The fire **never adjusts**. Going concern can **override**.

13 Four zones — who does what

RD → **Board approves** (Sec 134) → **Auditor signs** (never before approval) → **FS issued** → AGM

Zone	Management (Ind AS)	Auditor (SA 560 / 570)
A RD → approval	Inside window → GC ladder	**Active** duty (560 · 6-8); evaluate GC (570)
B approval → signing	Window closed for approved FS → **amend & re-approve** re-opens it	Still **active** till report date. Refuse → modify (570 · 21/23)
C signing → issue	Should amend & re-approve	**Passive** (560 · 10): new report or **dual dating** (11-12); not amended → modify / tell not to issue / prevent reliance (13)
D after issue	Next year's FS; ~~Sec 131~~ (FS were compliant)	560 · 14-17: new report with EOM / OM if amended

14 SA 570 reporting

Situation	Opinion
GC OK, material uncertainty **adequately disclosed**	**Unmodified + "Material Uncertainty Related to GC" section** 22
Uncertainty **not adequately disclosed**	**Qualified / Adverse** 23
GC basis used but **inappropriate**	**Adverse** 21
Liquidation basis, appropriate, disclosed	**Unmodified (EOM optional)**
Management refuses / won't extend assessment	**Qualified / Disclaimer** 24

⚠ TRAP

Material uncertainty → separate **MURGC section, not an EOM**. **CARO 3(xix)**: material uncertainty **as on audit report date** → a post-RD fire feeds it even though Ind AS 10 calls it non-adjusting.

Management's window closes at **approval**; auditor's eyes stay open till **signing**. Before signing → **search**. After → **react**. After issue → **prevent reliance**.

Nov 2026 attempt

Ind AS 8 — Policies, Estimates & Errors

The whole standard is one question: **policy, estimate or error?** Get that right and the treatment follows.

① The three-way split

	Change in POLICY	Change in ESTIMATE	Prior-period ERROR
What	*Principles, bases, conventions, rules*	*Monetary amount **subject to measurement uncertainty** (2023)*	*Omission / misstatement from not using reliable info that was available*
How	**Retrospective**	**Prospective**	**Retrospective restatement**
Current P&L hit?	*No → opening equity*	**Yes**	*No → opening equity*
3rd BS?	*If material to opening BS*	*Never*	*If material to opening BS*

*Can't tell policy from estimate? → treat as **ESTIMATE** (para 35)*

② When can a policy change? 14 · 16

Only if:

- → **required** by an Ind AS, or
- → gives **reliable & more relevant** info

NOT a policy change:

- → transactions **different in substance**
- → transactions **new** or previously **immaterial**

③ Classify it — exam favourites

Change	Answer
FIFO → weighted average (Ind AS 2)	**Policy — retrospective**
SLM → WDV depreciation	**Estimate — prospective** Ind AS 16 · 61
Useful life / residual value / ECL / warranty rate	**Estimate — prospective**
*Cost model → **revaluation** (Ind AS 16 / 38)*	*Policy, but **NOT retrospective** — treat as revaluation* 17
*Revaluation → **back to cost***	**Voluntary policy — retrospective (para 17 is one-way)**
Investment property cost → FV	**Not allowed — Ind AS 40 = cost model only**
Measurement basis change (cost → FV)	**Policy, not estimate** 35
*Valuation **technique / input** change, same basis*	**Estimate** 34A
Early adoption of a new Ind AS	*Not voluntary — follow its transition rules*
Policy change on first-time adoption	*Ind AS 101 governs, not Ind AS 8*

4 No Ind AS applies? 10 - 12

*Use judgement → info that is **relevant & reliable**. Refer in this order:*

1. ***Ind AS** dealing with **similar** issues*
2. ***Conceptual Framework** definitions & recognition / measurement criteria*
3. *May consider: **latest IASB pronouncements** (India puts IASB first) → other standard-setters with similar framework → literature & industry practice — **if not conflicting***

5 Estimates — 2023 amendment 32 - 38

→ *Estimate = **monetary amount subject to measurement uncertainty**.*

→ *Change in **input** or **measurement technique** = change in estimate, **unless** it corrects an error 34A*

→ *Recognise in P&L of period of change (and future periods if both affected) 36*

⚠ TRAP

***Hindsight ≠ error** 48. Provision ₹2 cr at 31 Mar 2024 on best evidence; case settles ₹5 cr in Nov 2024 → extra ₹3 cr in **FY 24-25 P&L**. No restatement.*

6 Errors — correction mechanics 41 - 49

→ *Correct in **first FS approved after discovery** 42:*

- *restate **comparatives** for the period(s) the error occurred, or*
- *if before earliest period presented → restate **opening balances of earliest period***

→ ***Impracticable** → restate from earliest practicable period 43 - 45*

→ *Error in **current year** found before approval → just correct current figures (not a prior-period error)*

⚠ TRAP

***Intentional immaterial errors** to achieve a particular presentation → FS **do not comply** 41. Materiality doesn't save intent. (Audit: SA 450 — qualitatively material; SA 240.)*

Disclosure of error 49

- *nature of the error*
- *correction **per line item** and **basic & diluted EPS**, each prior period presented*
- *correction at **start of earliest period***
- *if impracticable — why; **no need to repeat** in later years*

⑦ Same error, found at different times

Error: FY 23-24 revenue overstated ₹6 cr. Current FS = FY 24-25 (comparative FY 23-24).

Discovered	Treatment
During FY 24-25	*Restate FY 23-24 comparatives in FY 24-25 FS; 3rd BS if material to 1 Apr 2023*
*After 31 Mar 2025, **before** approval*	***Ind AS 10 adjusting** (9(e)) + Ind AS 8 restatement in FY 24-25 FS*
***After** FY 24-25 approval*	*Correct in **FY 25-26** FS — restate FY 24-25 comparatives*
*Error arose in **FY 21-22**, still in balances*	*Restate **opening balances at 1 Apr 2023** + 3rd BS if material*

⑧ Restatement ≠ Revision ≠ Reopening

Route	Who / how	Key points
Ind AS 8 restatement	*Management, in current FS*	*Comparatives / opening balances restated. **Old FS NOT reissued.***
Sec 131 revision	***Voluntary** — company applies to **Tribunal***	*FS of **any of 3 preceding FYs** not complying with Sec 129 / 133; **once a year**; reasons in Board's report*
Sec 130 reopening	***Forced** — Court / Tribunal order on application of CG, tax authority, SEBI, other regulator*	*Accounts **fraudulent** or affairs **mismanaged**; generally up to **8 preceding FYs***

⚠ TRAP

*From FY 24-25, the 3 preceding FYs = **23-24, 22-23 and 21-22** → an FY 21-22 error is **inside** the Sec 131 window. But Ind AS 8 **never requires** revision — Sec 131 is the company's **choice**.*

Policy = Past restated
Estimate = Ever-after
Error = Erase & rewrite comparatives

Ind AS 8 fixes the **comparatives**.
Sec 131 fixes the **old FS** (voluntary).
Sec 130 is **forced**.

9 Auditor's response

Situation	Where / what
Prior-year error; last year **unmodified**; comparatives **NOT restated**	**Qualified / Adverse re corresponding figures** SA 710 · 12
Same, **properly restated** & disclosed	**Unmodified; EOM may refer to disclosure** SA 710 · A8
Last year's opinion **modified**, matter unresolved	**Modify current opinion too** SA 710 · 11
New auditor finds error in opening balances	**SA 510** — opening balances & current-period effect
Error found after prior-year FS issued	**SA 560 · 14–17** — discuss; new report with EOM / OM if amended
Uncorrected prior-year misstatements	**SA 450** — effect on current period; intentional = qualitatively material
Error is **fraud** by officers / employees	**SA 240**; **Sec 143(12)**: **≥ ₹1 cr → Central Government**; below → Audit Committee / Board; CARO 3(xi)
Early adoption of new standard, pervasive effect	**SA 706** — EOM may be included

10 Exam-ready sentences

✍ **Write in exam**

Error: "As per para 42 of Ind AS 8, a material prior period error shall be corrected retrospectively in the first set of financial statements approved for issue after its discovery, by restating the comparative amounts for the prior period presented in which the error occurred, or, if it occurred before the earliest period presented, the opening balances of assets, liabilities and equity for the earliest prior period presented."

✍ **Write in exam**

Estimate: "The change in depreciation method is a change in accounting estimate (Ind AS 16 para 61) and shall be applied prospectively by including its effect in profit or loss of the period of change and future periods (Ind AS 8 para 36)."

✍ **Write in exam**

AAA: "Since the corresponding figures have not been restated for a material misstatement in the prior period financial statements on which an unmodified opinion was issued, the auditor shall express a qualified or adverse opinion, modified with respect to the corresponding figures (SA 710 para 12)."

Nov 2026 attempt

Ind AS 16 — Property, Plant & Equipment

Cost in → depreciate by component → revalue by class → derecognise. Traps live at every arrow.

1 Recognition 7 · 8 · 12 – 14

- → Recognise if **probable future economic benefits + cost measured reliably** 7
- → **Spares, stand-by & servicing equipment** → PPE if used **> 1 period**; else inventory 8
- → **Day-to-day servicing** (labour, consumables, small parts) → **P&L** 12
- → **Replacement of a part** → capitalise new part, **derecognise the replaced part** — even if not depreciated separately (use replacement cost as a guide to old part's cost) 13 · 70
- → **Major inspection / overhaul** → capitalise; derecognise remaining carrying amount of the **previous inspection** 14

2 What goes into cost 16 – 22

IN ✓

- Purchase price + import duties + **non-refundable** taxes − trade discounts/rebates
- Directly attributable: site prep, delivery, installation, **testing**, professional fees, employee costs arising directly
- Initial estimate of **dismantling / restoration** (Ind AS 37)
- Borrowing costs on qualifying asset (Ind AS 23)

OUT ×

- Opening a new facility; new product launch / advertising
- New location / new customer class, **staff training**
- Admin & general overheads
- Costs **after** asset can operate as intended: **initial operating losses**, relocation, under-utilisation 20
- Abnormal waste in self-construction; **incidental operations** → P&L 21

⚠ TRAP

2022 amendment: sale proceeds of items produced while testing are **NOT deducted** from cost — recognise the proceeds and their cost (Ind AS 2) in **P&L**. Testing cost (is it functioning properly?) is still capitalised.

3 Special acquisitions

- → **Deferred payment** beyond normal credit → cost = **cash price equivalent**; difference = interest (unless Ind AS 23) 23
- → **Exchange of assets** → **fair value**, unless it **lacks commercial substance** or FV not reliably measurable → **carrying amount of asset given up** 24
- → **Government grant** → may deduct from cost (Ind AS 20) 28
- → **Bearer plants** → Ind AS 16; **produce** on them → Ind AS 41

NUMERICAL FAVOURITE

4 Cost model vs Revaluation model 29 - 42

→ Choice is by **entire class** (land, buildings, machinery...) — revalue the whole class **simultaneously** (rolling basis OK if completed in short period) 36 · 38

→ Carrying amount = **FV at revaluation date − later acc. depreciation − later impairment** 31

→ Frequency: so that carrying amount doesn't differ **materially** from FV

Accumulated depreciation on revaluation 35

(a) Restate gross carrying amount consistently (e.g., proportionately); acc. dep = gross − revalued amount

(b) Eliminate acc. dep against gross carrying amount; net = revalued amount

5 Surplus / deficit — the sequence 39 · 40

Increase → **OCI** (revaluation surplus)
except: reverses an earlier **P&L** decrease → **P&L** to that extent

Decrease → **P&L**
except: to the extent of **surplus for the SAME asset** → **OCI** first

Land (no depreciation)	Value	OCI	P&L
Cost	100	—	—
Revalued up	120	+20	—
Revalued down	90	−20 (wipe surplus)	−10
Revalued up	115	+15	+10 (reverse P&L loss first)

⚠ TRAP
Surplus of **Asset A** can **never** absorb a deficit of **Asset B**, even in the same class.

6 Moving the surplus 41 · 42

→ Transfer to **retained earnings directly** (within equity) — **never through P&L**

→ When: on **derecognition**, or yearly as used = **depreciation on revalued amount − depreciation on original cost**

→ Deferred tax on surplus → OCI (Ind AS 12)

Surplus goes **up through OCI** and **out through retained earnings** — P&L never sees it.

7 Depreciation 43 – 62A

- → **Component approach** — each significant part separately 43; mandatory under Sch II too
- → **Land & buildings** separate; land not depreciated (except quarries / landfill); restoration cost on land → over benefit period 58 · 59
- → Depreciable amount = cost − **residual value**; RV & useful life reviewed **at least each FY-end** → change = **estimate** 51
- → RV ≥ carrying amount → depreciation **zero** until RV falls 54
- → Method reviewed each FY-end → change = **estimate**, prospective 61
- → **Revenue-based depreciation is NOT appropriate** 62A

Depreciation …	Rule 55
Starts	When **available for use** (location & condition) — not when actually used
Stops	Earlier of **HFS classification** (Ind AS 105) or **derecognition**
Asset **idle / retired from active use**	**Continues** (unless fully depreciated; usage method may give zero)

8 Impairment & compensation 63 – 66

- → Impairment → **Ind AS 36**
- → **Insurance / third-party compensation** for impaired, lost or given-up PPE → **P&L when receivable** — **separate event**, never netted against the loss 65 · 66

> ⚠ **TRAP**
> Fire **before** RD: write off the asset in this year; recognise insurance only when **receivable** (Ind AS 37 — virtually certain). Fire **after** RD → Ind AS 10 non-adjusting (see Ind AS 10 notes).

9 Derecognition 67 – 72

- → On **disposal** or when **no future benefits** expected
- → Gain / loss → **P&L**; gains are **NOT revenue** 68
- → **Exception:** PPE routinely held for **rental then sold** → transfer to **inventory** at carrying amount when rental ends; sale proceeds = **revenue (Ind AS 115)** 68A
- → Date of disposal & consideration → **Ind AS 115** rules 69 · 72

10 Decommissioning liability changes Appendix A

Model	Change in estimate of the liability
Cost model	Add to / deduct from asset cost; a decrease **beyond carrying amount → P&L**; revised depreciable amount depreciated over remaining life
Revaluation	Goes through **revaluation surplus / deficit** (OCI / P&L rules of para 39 – 40)
Unwinding of discount	**Finance cost in P&L** — never capitalised

11 Cross-standard links

→ **Ind AS 101** — deemed cost option: FV, or previous-GAAP carrying value for all PPE (D7AA)

→ **Ind AS 40** — owner-occupied ↔ investment property transfers at carrying amount (cost model only in India)

→ **Ind AS 105** — HFS: stop depreciation; lower of carrying amount and FV less costs to sell

→ **Ind AS 116** — ROU assets follow Ind AS 16 depreciation rules

→ **Ind AS 12** — revaluation creates taxable TD → DTL through OCI

→ **Ind AS 8** — useful life / RV / method = estimate; cost → revaluation = policy, prospective (para 17)

12 AAA bridge

Area	Requirement
CARO 3(i)(a)	Proper records incl. quantitative details & situation of PPE; intangibles records
CARO 3(i)(b)	Physical verification at reasonable intervals; material discrepancies dealt with
CARO 3(i)(c)	Title deeds of immovable property in company's name (not where company is lessee)
CARO 3(i)(d)	Revaluation during year — by **registered valuer**? change ≥ **10%** of net carrying value of a class
CARO 3(i)(e)	Proceedings under Benami Property Act
SA 540	Useful life, RV, revaluation FV, decommissioning estimate
SA 500 / SA 620	Valuer = management's expert (SA 500 para 8) vs auditor's expert (SA 620)
Sch II / Sec 123	Useful lives indicative (different life → justify & disclose); depreciation before dividend

> ✍ **Write in exam**
> "As per para 39–40 of Ind AS 16, the revaluation decrease shall first be debited to OCI to the extent of any credit balance existing in the revaluation surplus in respect of that asset, and the balance shall be recognised in profit or loss."

Nov 2026 attempt

Ind AS 12 — Income Taxes

Balance sheet approach: compare **carrying amount** with **tax base**. Everything else is an exception or a measurement rule.

1 The core grid

	Carrying amount > Tax base	Carrying amount < Tax base
ASSET	**Taxable TD → DTL**	**Deductible TD → DTA**
LIABILITY	**Deductible TD → DTA**	**Taxable TD → DTL**

Asset bigger in books → DTL. Liability bigger in books → DTA.

2 Tax base 7·8

Asset

Amount **deductible** for tax against future taxable benefits.

Benefits not taxable (e.g., dividend receivable not taxable) → tax base = **carrying amount** (no TD).

Liability

Carrying amount − **amount deductible** in future.

Revenue received in advance: CA − revenue not taxable in future.

Example	Result
Machine: book WDV 80, tax WDV 60	**Taxable TD 20 → DTL**
Provision (warranty / gratuity) 50, deductible on payment (43B)	**TB 0 → deductible TD 50 → DTA**
Advance received 30, taxed on receipt	**TB 0 → deductible TD 30 → DTA**
Interest receivable 10, taxed on receipt	**TB 0 → taxable TD 10 → DTL**
Land revalued 100 → 160, tax base 100	**Taxable TD 60 → DTL via OCI**
Penalty payable 5, never deductible	TB = CA → **no TD** (permanent)

3 Unused losses & credits 34 – 36

→ DTA for unused tax losses / credits → only to extent **probable** future taxable profit

→ **History of recent losses** → need **convincing other evidence** (taxable TDs, firm contracts, tax planning) 35

→ **MAT credit** → recognised as **DTA** when probable it will be utilised within the allowed period (ICAI guidance)

MOST TESTED

4 Initial recognition exceptions 15 · 24

No DT is recognised for:

→ **DTL on initial recognition of goodwill** 15(a) (DTA on tax-deductible goodwill excess — allowed)

→ Initial recognition of an asset / liability in a transaction that:

- is **not a business combination**, and
- affects **neither** accounting profit **nor** taxable profit, and
- does **not** give rise to **equal** taxable and deductible TDs (2023 amendment)

⚠ TRAP

2023 amendment: leases (ROU asset + lease liability) and **decommissioning** (asset + provision) create **equal and opposite TDs** → exception **no longer applies** → recognise **both DTA and DTL** (gross; offset only if para 74 met).

5 Measurement 46 – 56

→ Rates **enacted or substantively enacted by RD** 47 — change after RD = Ind AS 10 non-adjusting

→ Rate expected when TD **reverses**; reflect **manner of recovery** (use vs sale) 51

→ Revalued **non-depreciable** asset (land) → rate for **recovery through sale** 51B

→ **No discounting** of DTA / DTL 53

→ **Review DTA** each RD — reduce if not probable; reassess **unrecognised** DTA too 37 · 56

Sec 115BAA (new regime 22% + surcharge & cess)

Measure DT at the rate expected when TDs **reverse**: if the company expects to opt in a later year, TDs reversing after that year use the **new rate**. Remeasurement effect → **P&L** (or OCI / equity if the item was there).

6 Where does tax go? 57 – 68C

Underlying item	Tax goes to
Normal income / expense	**P&L**
Revaluation surplus, DB remeasurement, FVOCI, CFH	**OCI** 61A
Retrospective policy change / error correction; equity component of compound instrument	**Equity directly**
Business combination (FV adjustments)	**Goodwill** 66
Income-tax consequences of **dividends**	Where the **distributable profits** were recognised (usually P&L) 57A

7 Investments in subs, branches, associates, JVs 39 · 44

	Recognise unless …
DTL	*parent / investor **controls timing** of reversal **and** it is **probable not to reverse** in foreseeable future* 39
DTA	*recognise **only if** probable to reverse in foreseeable future **and** taxable profit available* 44

> ⚠ **TRAP**
> ***Associate:** investor usually **cannot control** dividend policy → DTL on undistributed profits generally **recognised** (unless agreement says profits won't be distributed). **Subsidiary:** parent controls → often not recognised.*

8 Consolidation adjustments

- → ***Unrealised profit** in inventory eliminated → deductible TD → **DTA at buyer's rate** (buyer holds the asset)*
- → *Downstream → DTA all to parent; upstream → DTA split parent / NCI (see LDR Topic 2)*
- → *Group DT computed on **consolidated** carrying amounts vs **each entity's** tax base*

9 Business combinations 19 · 66 - 68

- → *FV uplift on acquiree's assets (tax base unchanged) → **DTL** → **increases goodwill***
- → ***No DTL on goodwill** itself*
- → *Acquirer's **own** previously unrecognised DTA becomes recognisable because of the combination → **P&L, not goodwill** 67*
- → *Acquiree DTA recognised **later**: within **measurement period** & from new info about facts at acquisition → reduce goodwill (excess → P&L); otherwise → P&L 68*

10 Presentation & offset 71 - 76

- → *Offset current tax assets / liabilities only with **legally enforceable right** + intent to settle net*
- → *Offset DTA / DTL only if **legally enforceable right** to set off current tax **and** same **taxation authority** (same entity, or entities intending net settlement) 74*
- → ***DT never current** (Ind AS 1 para 56)*
- → *Disclose **tax expense reconciliation** (ETR or numerical) 81(c)*

11 Uncertain tax treatments Appendix C

- → Assume the authority **will examine** with **full knowledge** (no detection risk)
- → Probable the authority accepts? **Yes** → use filed position. **No** → reflect uncertainty using **most likely amount** or **expected value** (whichever predicts better)
- → Consider each treatment separately or together — whichever predicts resolution better
- → **Reassess** when facts change (new assessment order, ruling, expiry of limitation)

12 Ind AS 12 vs old AS 22

	AS 22	Ind AS 12
Approach	P&L (income statement)	**Balance sheet**
Differences	Timing	**Temporary** (wider: incl. revaluation, BC, OCI items)
DTA on losses	Virtual certainty	**Probable** (convincing evidence if recent losses)

13 AAA bridge

Area	Requirement
SA 540	DTA recoverability (profit forecasts), uncertain tax positions, rate expectations
SA 250	Compliance with tax laws; non-compliance effect on FS
SA 580	Written representations on tax planning & future profitability assumptions
CARO 3(vii)(a)	Undisputed statutory dues (incl. income tax) deposited regularly; arrears > 6 months
CARO 3(vii)(b)	Disputed dues not deposited — amount & forum
CARO 3(viii)	Unrecorded income **surrendered / disclosed** in tax assessments — recorded in books?

✍ **Write in exam**

"As per para 24 and 34 of Ind AS 12, a deferred tax asset shall be recognised for deductible temporary differences and unused tax losses only to the extent that it is probable that taxable profit will be available against which they can be utilised; given the history of recent losses, convincing other evidence is required (para 35)."

DTA needs **proof of future profit**. DTL needs **no proof** — it's always recognised (except goodwill / IRE / controlled timing).

Ind AS 16 — Numericals

Components, revaluation with depreciation, decommissioning, exchanges. ₹ lakh.

1 Component depreciation

Aircraft component	Cost	Life	Annual depreciation
Body	*350*	*20 yrs*	*17.5*
Engines	*100*	*5 yrs*	*20.0*
Interiors	*50*	*10 yrs*	*5.0*
Total	***500***		***42.5***

Engine replaced in year 5 → capitalise new engine; derecognise old engine's carrying amount (nil if fully depreciated). Major inspection every 3 yrs costing 30 → separate component, depreciated over 3 yrs.

2 Revaluation of a depreciable asset

Building cost 1,000, life 10 yrs, SLM. After 2 years CA = 800; revalued to ***960****.*

Item	Elimination method	Proportionate restatement
Gross carrying amount	*960*	*1,200 (1,000 × 960/800)*
Accumulated depreciation	*Nil*	*240*
Net carrying amount	*960*	*960*
Revaluation surplus (OCI)	***160*** *(less DTL 40 at 25% → net 120 in OCI)*	

- → *New depreciation = 960 ÷ 8 =* ***120*** *(vs 100 on cost) → may transfer* ***20 / year*** *from surplus to* ***retained earnings*** *(net of tax IS if DT considered) — not through P&L*
- → *Later revalued down to 600 at a date when surplus balance is 140 → OCI (140), P&L for the rest*

③ Decommissioning

Oil rig cost 1,000; dismantling in 10 yrs estimated 200; discount rate 8%.

Working	₹ lakh
PV of dismantling 200 ÷ 1.08^{10} → provision & added to cost	92.64
Total cost	1,092.64
Year 1 depreciation ÷ 10	109.26
Year 1 unwinding → ***finance cost***	7.41

Estimate revised in Year 2 (cost model) → change in PV added to / deducted from asset; decrease beyond carrying amount → P&L; new depreciable amount over remaining life.

④ Exchange & deferred payment

- *Give machine (CA 300, FV 350) + cash 50 for a new machine (commercial substance) → cost* ***400****; gain* ***50*** *on old machine → P&L*
- *No commercial substance → cost = CA given up 300 + cash 50 =* ***350****; no gain*
- *Price 1,000 payable after 1 year vs cash price 900 → cost* ***900****; 100 = interest (unless Ind AS 23 capitalises)*

PPE numericals check-list: **components → cost items in / out → depreciation start → revaluation (OCI / P&L sequence) → surplus transfer → decommissioning unwind → derecognition gain.**

⑤ Ind AS 12 — full DT schedule (tax 25%)

Item	CA	Tax base	TD	DTL	DTA
PPE	800	600	200 taxable	50	
Gratuity provision (43B)	100	0	100 deductible		25
ROU asset	300	0	300 taxable	75	
Lease liability	320	0	320 deductible		80
Unused losses 200 — only 120 probable			120		30
FVOCI equity (cost 100)	150	100	50 taxable	12.5 (OCI)	
Total				**137.5**	**135**

→ Net **DTL 2.5** in BS (offset only if same authority + legal right — para 74)

→ Opening net DTL 10 (all P&L items). Closing P&L-items net **DTA 10** (135 − 125) → **deferred tax credit 20 in P&L**; DTL 12.5 → **OCI**

→ Lease: DTA & DTL both recognised (2023 amendment) even though initial recognition affected no profit

⑥ Tax expense reconciliation (para 81(c))

Item	₹ lakh
Profit before tax 1,000 × 25%	250
+ Non-deductible penalty 20 × 25%	5
− Exempt income 40 × 25%	(10)
Tax expense (current + deferred)	**245** · ETR **24.5%**

⑦ Twisted Ind AS 12 cases

Case	Answer
Rate enacted after RD but before approval	Use old rate; disclose (non-adjusting)
Company will opt for IISBAA from FY 2027-28	TDs reversing from FY 27-28 → **new rate**; rest old; change → P&L / OCI per item
Losses for 3 years, budget shows profits	Budget alone insufficient → need convincing evidence (taxable TDs reversing, firm orders)
Goodwill not deductible	No DTL on initial recognition; later impairment → no DT
Goodwill deductible for tax, amortised in tax	Later TDs (CA > TB as tax amortises) → **DTL recognised** (not initial recognition)
Sub's undistributed profits; parent controls dividends & won't distribute	No DTL (para 39)
Intra-group inventory profit eliminated	DTA at **buyer's** rate

✍ **Write in exam**

"Deferred tax is measured at the tax rates expected to apply when the asset is realised or the liability settled, based on rates enacted or substantively enacted by the end of the reporting period (para 47), and reflects the manner in which the entity expects to recover or settle the carrying amount (para 51)."